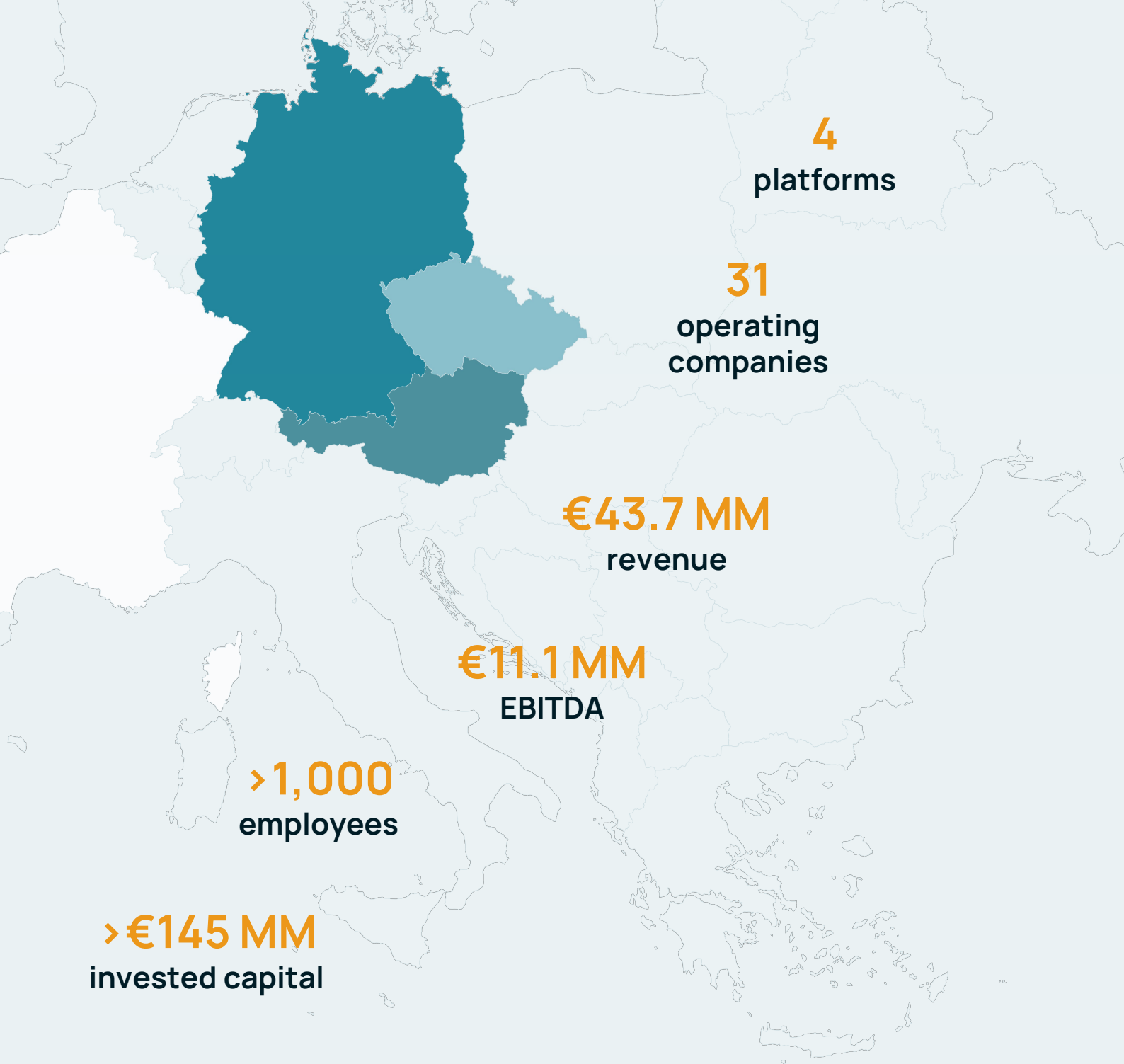


Interim Report

06
2023





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Letter to the shareholders

Dear shareholders,
dear friends of the company,

In 2023, we officially started the next CHAPTER of our corporate history. In July 2023, the renaming of the company to CHAPTERS Group AG as approved by the AGM in June 2023 became official, our new website went live and we moved our legal seat to Hamburg.

We also welcomed a new board member to our Supervisory Board. Paul Buser, co-founder and co-CEO of Sator Grove Holdings, one of our long-time and largest shareholders, is an experienced and talented company builder and took over from Lars Ahns after the AGM in 2023.



We also completed a small capital increase in May 2023 with the issuance of c. 433 thousand new shares. Alongside the placing of the 2020 perpetual bond, total cash inflow was about €16 million and fueled the growth over the past few months.

In the first six months of 2023, we continued the growth of the group. Within our investment platform Ookam Software GmbH, four more companies became part of the group. With Teamware GmbH and MWM Software & Beratung GmbH, two further companies with a software solution for the

construction and real estate sector became part of the group.

In addition, Ookam became shareholder of Condition- Integrated Software Solutions GmbH, which develops and sells the market leading software solution for fishing, hunting, and gun licenses administration and monitoring and primarily counts municipalities and authorities among its customers. With the acquisition of Utilities Systems a.s., the first transaction outside of the DACH region took place. The Prague-based company sells and develops a CRM software solution for electricity and gas suppliers, water and energy suppliers, and public service broadcasters.

In the education sector, GfW Gesellschaft für Weiterbildung GmbH, a subsidiary of NGC Nachfolgekapital GmbH, was able to expand its presence in Berlin through the acquisition of DIE NEUE SCHULE. DIE NEUE SCHULE is based in West Berlin and ideally complements the existing presence of the GfW Group in East Berlin.

Since June 30, 2023, we founded our fifth investment platform, mlog capital SAS alongside the management of the platform, who owns 20%. mlog aims to acquire software companies in niche markets in France.

Ookam continued to grow as well and invested in two additional companies. KeyLogic GmbH offers comprehensive CAFM (computer-aided facility management) solutions and became the eighth company in that sub-segment "construction and real estate" within Ookam. With GAIN Software GmbH, a fourth company in the sub-segment "industrial software" became part of the group. The company offers PDM and CAD solutions with a focus on SMEs in Germany



Within NGC Nachfolgekapital GmbH, two companies from the access control industry were acquired by ENTRO, a subsidiary of NGC Nachfolgekapital GmbH with a focus on this industry.

We also announced the spin-off by means of a 100% management buy-out of the property services business offered by ARUDI GmbH and its four operating subsidiaries. The group will continue to be led by the NGC Nachfolgekapital management team and its current operational directors. and continue to offer solutions for the entrepreneurial succession of family businesses in the service sector, specializing in "Everything around the property".

We are pleased with the progress that ARUDI – led by NGC Nachfolgekapital team - has shown since its inception and are proud to enable the spin-off that ensures a stronger focus and a targeted strategic orientation towards the specific requirements of this labor-intensive service industry.

For CHAPTERS Group AG, the step allows us to concentrate our resources and expertise even further on the growth within other existing segments in the group.

The pursuit of new opportunities is a core part of our DNA. Looking ahead, we are convinced that the dynamic growth of the company will continue and that we will embark on several new and successful chapters of the company in the coming month and years.

We were pleased to welcome as many of you at our AGM in June in 2023 – for the first time in Hamburg and look forward to next year.

We value the personal exchange with you, dear shareholders, and want to thank you for your continuous support and trust in the development of the company.

Sincerely yours,

.....
Jan-Hendrik Mohr

.....
Marlene Carl



Development of the group and key figures

As a holding company, CHAPTERS Group AG is the sum of its subsidiaries. Two factors are important for the long-term economic success and the value development of the group: The growth of the group through the acquisition of new operating companies by the investment platforms and the operational development of these companies.

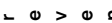
Growth of the group

		2019-21	2022	H1 2023
Companies newly added to the group	 NACHFOLGEKAPITAL	7	3	1
	 OKAM SOFTWARE	9	5	4
	 CarMa. Content Management Holding	2	0	0
	Minority interests of CHAPTERS Group AG	2	0	0
Operating associated companies at the end of the year		20	26 ¹	31
thereof minority interests		2	2	2
Invested capital		€ 67.8 MM	€ 100.7 MM ²	€ 145.6 MM
thereof for the acquisition/expansion of minority holdings		€ 3.1 MM	€ 9.4 MM	€ 21.6 MM

The invested capital includes the total amount invested for the acquisition of group companies (including borrowed funds and vendor loans, and equity contributions from minority shareholders) as well as funds made available by CHAPTERS Group AG for setting up the business operations of subsidiaries. As far as minority companies are concerned, only the amount invested by CHAPTERS Group AG is taken into account.

Development of the operating associated companies

For the overview below, all operating companies (including the two minority holdings) that are part of the group as of June 30, 2023 are taken into account with their results for the relevant period and at 100%, regardless of the time of acquisition or the participation rate of CHAPTERS Group AG.

Total of companies that are part of the group since	12/2021	12/2022	06/2023
2019-21 	€ 40.9 MM	€ 48.5 MM	€ 27.3 MM

¹ In the 2022 financial year, one of the operative associated companies below NGC Nachfolgekapital GmbH was merged with another, and another was disposed of.

² Excluding amounts invested in previous years in companies that are no longer part of the group.

2022		€ 18.5 MM	€ 11.2 MM
2023			€ 5.2 MM
Total		€ 40.9 MM	€ 67.1 MM
<i>thereof from minority interests</i>		<i>€ 9.2 MM</i>	<i>€ 11.9 MM</i>
2019-21	EBITDA (rep.)	€ 10.6 MM	€ 9.2 MM
2022		€ 3.4 MM	€ 1.9 MM
2023			€ 1.4 MM
Total		€ 10.6 MM	€ 12.5 MM
<i>thereof from minority interests</i>		<i>€ 1.6 MM</i>	<i>€ 1.0 MM</i>
2019-21	EBITDA (adj.)	€ 12.2 MM	€ 12.9 MM
2022		€ 3.8 MM	€ 2.1 MM
2023			€ 1.4 MM
Total		€ 12.2 MM	€ 16.8 MM
<i>thereof from minority interests</i>		<i>€ 1.6 MM</i>	<i>€ 1.9 MM</i>
<i>thereof attributable to CHAPTERS Group AG</i>		<i>€ 8.1 MM</i>	<i>€ 11.8 MM</i>

Base Value

Since the 2020 financial year, CHAPTERS Group AG has been calculating the **Base Value** per share, which takes into account all operating company investments of the group as well as the assets and liabilities of CHAPTERS Group AG as the ultimate parent company.

The shares in the companies acquired through the investment platforms are factored into the Base Value based on the following calculation logic: based on the purchase price paid in relation to the adjusted EBITDA of the operating company on which the purchase was

Base Value of associated company - calculation scheme

	EBITDA (adj.) of the operating company
x	Entry multiple
=	Enterprise value of the operating company
-	Outstanding debt (bank and vendor loans)
+	Non-operational cash on hand
-	Outstanding shareholder loans from CHAPTERS Group AG
-	Invested capital from minority shareholders
=	Equity value of the operating company
x	CHAPTERS Group AG share in the company
=	Equity value attributable to CHAPTERS Group AG
+	Outstanding shareholder loans from CHAPTERS Group AG
=	Base Value of the operating company

based, there is a multiple for 100% of the shares. Multiplied by the adjusted EBITDA of the respective fiscal year under review, this results in the enterprise value.

The company made a conscious decision to base the calculation on the entry multiple and not, for example, on multiples from comparable, recent transactions to calculate and represent the Base Value consistently over many years – and independently of the company's valuation on the capital market.

After deducting the net debt (loans from banks and vendors plus cash on hand not required for operations) at the level of the respective acquisition company, this results in an equity value for 100% of the shares in the respective company.

The sum of the proportionate equity value attributable to CHAPTERS Group AG plus the shareholder loans of all associated companies provided by CHAPTERS Group AG for the purchase results in the Base Value of the associated companies.

In addition to the Base Value of the operating associated companies, the market value on the respective reference date of the securities account and the net debt of CHAPTERS Group AG are included in the calculation.

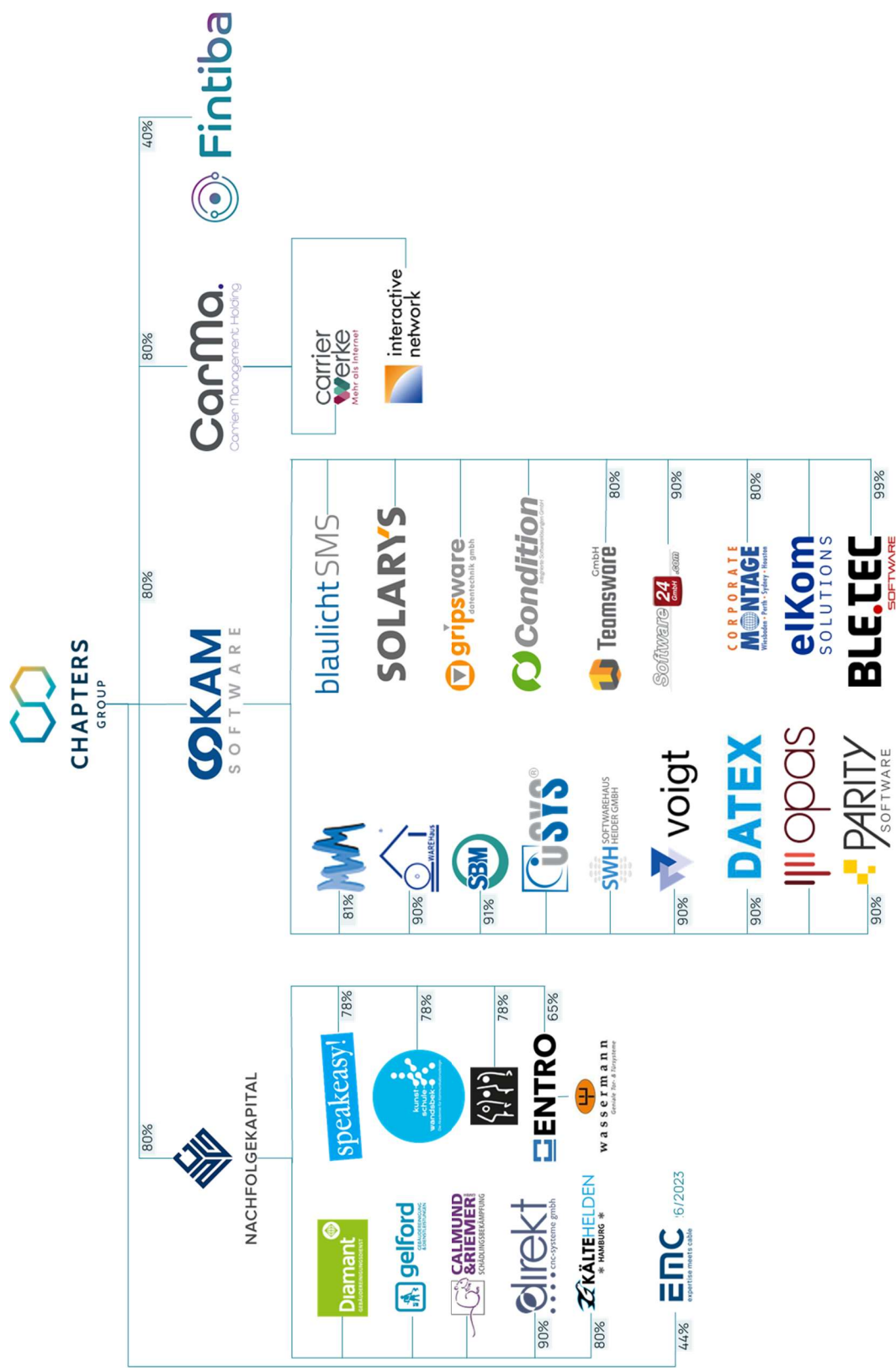
		12/2021	12/2022	06/2023
	Base Value associated company	€ 39.85 MM	€ 60.62 MM	€ 97.39 MM
	<i>thereof amount invested by CHAPTERS Group AG</i>	<i>€ 36.99 MM</i>	<i>€ 53.39 MM</i>	<i>€ 85.76 MM</i>
+	Securities	€ 17.09 MM	€ 36.69 MM	€ 19.42 MM
+	Cash balance	€ 3.65 MM	€ 17.71 MM	€ 23.39 MM
+/-	Other assets/liabilities	€ 0.32 MM	€ -0.03 MM	€ -0.22 MM
-	Perpetual bond (net)	€ 9.33 MM	€ 10.17 MM	€ 21.23 MM
=	Total Base Value	€ 51.58 MM	€ 104.81 MM	€ 118.75 MM
/	Number of shares at the end of the period	10,999,513	16,066,600	16,499,266
=	Base Value per share	€ 4.69	€ 6.52	€ 7.19

Earnings per share

In addition to the Base Value, the company has also been calculating earnings per share since the 2020 financial year. For this purpose, the pro rata annual surplus attributable to CHAPTERS GROUP AG (adjusted for accounting-related purchase price depreciation and other consolidation-related effects) of all subsidiaries of CHAPTERS Group AG is added up. The annual surplus of companies in which CHAPTERS Group AG holds a minority stake is only included if there are distributions. The result of CHAPTERS Group AG is included in full. At the level of CHAPTERS Group AG, the result from the securities account (realized profits and losses from sales, interest/dividends and depreciation at the end of the year) has a strong influence, so the profit per share without securities result is also calculated. A reconciliation of the reported consolidated net income to earnings per share can be found in the combined management report. We would like to highlight that the 2022 figure was positively impacted by exceptional one-off returns from the sale of one operating company.

	12/2021	12/2022	06/2023
Pro rata annual surplus (adj) of associated companies attributable to CHAPTERS Group AG	€ 2,085.2k	€ 5,936.1k	1,035.4k
Annual surplus of CHAPTERS Group AG	€ 2,084.9k	€ -5,119.7k	€ 646.3k
thereof securities result	€ 2,297.8k	€ -5,342.7k	€ -224.2k
Number of shares at the end of the period	10,999,513	16,066,600	16,499,266
Adj. earnings per share	€ 0.38	€ 0.05	€ 0.10
Adj. earnings per share, excl. income from securities	€ 0.17	€ 0.38	€ 0.11

Simplified group structure as of June 30, 2023



Simplified representation without intermediary acquisition companies and non-active operating companies. 100% ownership unless stated otherwise.



**Combined
interim management report
as of
June 30, 2023**

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A. Information About the Group and CHAPTERS Group AG

Business activity and orientation

CHAPTERS Group AG (formerly MEDIQON Group AG), in its current form, was created in 2018 after the sale of the main assets of the former Medical Columbus AG to GHX Europe GmbH. The name was changed to CHAPTERS Group AG in July 2023. The company has been listed on the Basic Board of the Frankfurt Stock Exchange (WKN 661 830) since June 3, 2005.

CHAPTERS Group AG as a holding company

CHAPTERS Group AG acts as a holding company and invests in companies that have usually been established in their respective market segment for many years. The participations of CHAPTERS Group AG in operationally active companies (the "operating companies") generally do not take place through a direct participation of CHAPTERS Group AG. Instead, investment platforms are established in which CHAPTERS Group AG has a majority stake. The investment platforms, in turn, participate in the operating companies. The equity capital required for the investments is provided by CHAPTERS Group AG as the ultimate parent company.

As part of the corporate strategy, CHAPTERS Group AG, in individual cases, also directly and with a minority stake in operating companies.

Goals and strategy

Increasing the company value by expanding the portfolio

CHAPTERS Group AG pursues the goal of increasing the company value of the group in the long term and sustainably. To this end, the existing corporate investment portfolio is to be further expanded in the coming years – both through acquisition-based growth of the existing investment platforms and by establishing new investment platforms or direct investments in operating companies.

CHAPTERS Group AG, as well as the investment platforms, pursue an entrepreneurial and long-term approach to its participations. The development of the operating companies is intended to be promoted sustainably and in partnership with the respective managing directors and employees. Selling portfolio companies to increase the company's value in the short term is expressly not part of the strategy. Nevertheless, divestitures can take place if they enable companies and managing directors to take the next step on their growth path.

The establishment of new investment platforms or direct company investments by CHAPTERS Group AG does not follow a set investment strategy. Potential new platforms are characterised by the fact that there is growth and investment potential in the relevant market over the next few years and that the business models are thus scalable. Furthermore – and most importantly – there must be an operational team that wants to build the segment together with CHAPTERS Group AG as a long-term capital partner. In the vertical niche software segment, in particular, we see opportunities for further growth over the next few years, especially in other European countries. With the acquisition of Utilities Systems a.s. located in Prague through Ookam Software GmbH and the founding of mlog capital SAS as an investment platform in France, the foundation for further growth

in other European countries was laid in 2023. The focus is on investments with purchase prices in the mid-million EUR range, which are considered professionally by only few investors, if at all.

Investment platforms as growth drivers

The key drivers for the growth of CHAPTERS Group AG as a group are the investment platforms. As of June 30, 2023, the group includes three investment platforms in which CHAPTERS Group AG holds an 80% stake each. The remaining 20% are held by the managing directors of the investment platforms as part of a management participation.

NGC Nachfolgekapital GmbH invests in profitable companies that need professional support for corporate succession for financial and/or personnel reasons or a capital partner for further growth. NGC Nachfolgekapital GmbH brings together the capital and potential successors for the continuation and/or expansion of the management of the operating companies. Together with the operational management, the development of the company is driven forward, both through organic growth and, for example, through add-on transactions.

Ookam Software GmbH focuses on building a decentralised software group and building a talent pool of managers within the Ookam organisation who lead the operating companies. The target companies are providers of vertical industry software and specialised technology companies characterised by long-term customer loyalty and, as a result, a high proportion of recurring sales. The target companies operate independently; Ookam Software GmbH contributes to the sustainable development of companies with its software expertise and an active exchange of experience and knowledge.

CarMa Holding GmbH focuses on the telecommunications market in Germany, particularly in the field of fibre optics. An integral part of the strategy is the development of carrierwerke GmbH, which offers a modern and comprehensive service concept for broadband networks for municipal utilities, municipalities, and other network providers. In addition, the group will also become active as an Internet service provider.

The company also holds 39.9% of the shares in **Fintiba GmbH**. Fintiba GmbH was founded in 2016 and has established itself in recent years as one of the leading providers of support for international students and young professionals on their way to Germany, especially through the possibility of setting up a blocked account online and from abroad, which is a requirement for the visa process. Unlike with the three investment platforms, CHAPTERS Group AG has invested directly in an operating company. The vision of Fintiba GmbH is to be the central point of contact for all (financial) products and services required in Germany for foreign students and young professionals. CHAPTERS Group AG supports this strategy as a long-term, capital-strong partner.

B. Economic Report

Macroeconomic framework

The first half of 2023 was again characterised by high inflation in Germany. Although there was a decline in the second quarter, inflation is still historically high. Rising interest rates and ongoing uncertainty are also a heavy burden on the German and European economies. German gross domestic product (price-adjusted) fell by 0.1% in the first quarter and stagnated in the second

quarter compared to the previous quarter. For the full year 2023, the ifo Institute expects a drop of 0.4% and a slow recovery in 2024/2025 of 1.4% and 1.2%, respectively. For the full year 2023, the OECD expects the GDP to stagnate in Germany, while moderate economic growth of 0.9% is expected for the euro area.

Business performance

In the first half of 2023, the investment platforms invested in five operating companies, four of which were in the software sector.

As of June 30, 2023, 31¹ operating companies belong to the group, two of which are minority investments (same period of the previous year: 26 companies, including two minority investments).

Key figures as of June 30, 2023

The group's growth, which continued successfully in the first half of 2023, is reflected in the key figures. The revenue and EBITDA figures shown here are a pro forma consideration that includes all operating companies belonging to the group as of June 30, 2023, for the first half of the year.

	06/30/2023	06/30/2022	12/31/2022
Base Value per share ²	€ 7.19	€6.39	€ 6.52
Adjusted earnings per share	€ 0.10	€ 0.15	€ 0.05
Adj. earnings per share net income from securities ³	€0.11	€0.14 ³	€0.38 ³
Revenue of operating companies (majority holdings) ⁴	€35.8 MM	€ 19.7 MM	€55.2 MM
EBITDA (adjusted) of operating companies (majority holdings) ⁴	€8.9 MM	€ 6.6 MM	€14.9 MM
Revenue of operating companies (minority holdings)	€ 7.9 MM	€5.0 MM	€11.9 MM
EBITDA (adjusted) of operating companies (minority holdings)	€ 2.2 MM	€ 0.3 MM	€1.9 MM
Operating holding companies (majority holdings) ¹	29	20	24
Minority interest of the group (unless listed)	2	2	2
Invested capital ⁵	€ 145.6 MM	€78.1 MM	€ 100.7 MM
<i>Thereof for the acquisition/investment of/in minority shares</i>	<i>€ 21.6 MM</i>	<i>€ 3.1 MM</i>	<i>€ 9.4 MM</i>

¹ Companies with smaller affiliate companies or subsidiaries are grouped together for the purposes of this calculation.

² The calculation logic for the Base Value is explained in detail in the 2022 consolidated financial statements. The main influencing factor is the valuation of the shares in the operating companies that belong to the group. The company consciously decided to use the entry EBITDA multiple to calculate and present the Base Value consistently over many years.

³ Both the value for the first half of 2022 and for the 2022 fiscal year are particularly characterized by the one-off income from the sale of an operating company by NGC Nachfolgekapital.

⁴ All operating companies in which CHAPTERS Group AG directly or indirectly holds more than 50% of the shares.

⁵ Includes the total capital invested for the acquisition of group companies (including debt financing and equity contributions from minority shareholders) as well as funds provided by CHAPTERS Group AG for the operational business of subsidiaries. As far as minority investments are concerned, only the amount invested by CHAPTERS Group AG for the acquisition of the company is taken into account.

According to section 301 HGB, the calculation of **revenue** and **EBITDA** in the consolidated financial statements only includes the results for the period in which the company was part of the group.

In addition to the operating companies, CHAPTERS Group AG, as well as the investment platforms and acquisition companies, are also included in the consolidated (interim) financial statements. Costs at the level of the investment platforms and acquisition companies are essentially incurred for driving the further growth of the group by assessing new acquisitions on the one hand and for the further development of the operating companies (e.g. through the establishment of advisory boards made up of industry experts) on the other.

Offsetting and reconciliation of revenue and EBITDA for the interim consolidated financial statements

	Revenue	EBITDA (reported) ⁶
Total operating companies	€ 43.7 MM	€ 9.5 MM
<i>thereof from minority interests</i>	<i>€ 7.9 MM</i>	<i>€ 1.9 MM</i>
<i>Thereof at the time of acquisition</i>	<i>€ 2.1 MM</i>	<i>€ 0.7 MM</i>
Total operating companies in the interim consolidated financial statements	€ 33.7 MM	€ 6.9 MM
<i>Investment platforms and acquisition companies</i>	<i>€ 0.0 MM</i>	<i>€ - 1.3 MM</i>
<i>CHAPTERS Group AG and Beteiligungsgesellschaft</i>	<i>€ 0.0 MM</i>	<i>€ - 0.9 MM</i>
Value in the consolidated financial statement	€ 33.7 MM	€ 4.7 MM

The **adjusted EBITDA** of the operating companies included in the interim consolidated financial statements amounts to **EUR 8.90 million**. The adjustments applied to the EBITDA amount to a total of EUR 1.24 million in the first half of 2023. EUR 0.86 million thereof is related to start-up costs for the newly founded operating companies in the group. Around EUR 0.37 million are related to payments to existing shareholders, which are still included in the expenses of the operating companies in the first half of 2023. EUR 0.23 million will be deducted from the reported amount for expected bonus payments for the current year. The remaining adjustments of EUR 0.24 million are one-off costs for, for example, marketing and recruiting.

Adjusted earnings per share

The consolidated (interim) result of CHAPTERS Group AG and its associated companies is – inherent to the business model – particularly characterised by the depreciation or liquidation of assets that were reversed as part of the purchase price allocation, as well as the depreciation of goodwill. The results of subsidiaries before the acquisition date are also not considered. For the adjusted consolidated profit, the consolidated (interim) result is adjusted for these effects (as well as the resulting shares attributable to minorities).

⁶ For the calculation of the reported EBITDA, the reduction in the inventory of finished and unfinished products resulting from the purchase price allocation, income from the reversal of provisions as well as income, losses, and costs from the disposal of fixed assets are not taken into account. The calculation can be found in the explanations of the group's earnings situation.

Reconciliation of the consolidated (interim) results to adjusted earnings per share (in K EUR)

	01/01/- 06/30/23	01/01/- 06/30/22	01/01/- 12/31/22
(Interim) results	-€ 4,195.56	€ 520.29	-€ 6,604.34
- Shares of other shareholders	-€ 1,198.82	€ 457.03	-€ 719.31
= Group loss	-€ 2,996.73	€ 63.26	-€ 5,885.03
+ Reduction in inventories of finished goods from purchase price allocation	€ 364.76	€ 271.65	€ 581.32
+ Depreciation of assets from purchase price allocation and goodwill	€ 5,084.63	€ 3,258.51	€ 6,987.52
- Reversal of deferred tax liabilities	€ 362.63	€ 256.14	€ 558.83
- thereof included in shares held by other shareholders	€ 1,252.29	€ 837.27	€ 1,772.37
+ Other consolidation-related adjustments (as far as attributable to the parent company)	€ 124.75	-€ 585.42	-€ 18.59
+ Adjustment of the consolidated loss from the results of capital consolidation	€ 3,959.22	€ 1,851.34	€ 5,219.05
- Results from associated companies	€ 306.68	-€ 147.74	-€ 352.75
+ Dividends received from associated companies	€ 518.70	€ 0.00	€ 0.00
+ Adjustment of the consolidated loss from the results of d companies	€ 212.02	€ 147.74	€ 352.75
+ Results of subsidiaries before the acquisition date	€ 651.36	€ 341.10	€ 1,407.28
- thereof shares of other shareholders	€ 144.22	€ 92.05	€ 277.62
+ Adjustment of the consolidated loss from results before the acquisition date	€ 507.14	€ 249.05	€ 1,129.66
= Adjusted (group) net income	€ 1,681.65	€ 2,311.39	€ 816.42
/ Number of shares at the end of the period	16,499,266	14,999,333	16,066,600
= Adj. earnings per share	€ 0.10	€ 0.15	€ 0.05
- Earnings per share from the securities portfolio of CHAPTERS Group AG	€ -0.01	€ 0.01	€ -0.33
= Adjusted earnings per share, excluding income from securities	€ 0.11	€ 0.14	€ 0.38

Both the figures for the first half of 2022 and for the 2022 fiscal year are particularly characterised by the one-off income from the sale of an operating company by NGC Nachfolgekapital.

Financial and liquidity position of the group

Effects of capital consolidation and purchase price allocation on the asset situation

Inherent in the business model of CHAPTERS Group AG and its associated companies, the group's balance sheet is particularly influenced by the results of the capital consolidation of the associated companies belonging to the group. The value of the investment (purchase price and incidental transaction costs) recognised – usually at the level of the acquisition company – is offset against the operating company's equity attributable to the acquisition company.

Capital consolidation is carried out using the revaluation method: As part of a purchase price allocation, the main (in) tangible assets of the respective operating company are identified and, if necessary, subjected to a revaluation. The disclosed hidden reserves are capitalised in the consolidated financial statements and amortised as scheduled.

Since the group companies are companies from the service and software sector, whose business model is characterised by low capital commitment and debt, no significant hidden reserves or losses were identified in the tangible assets and liabilities, except for one company property acquired at the same time. The following intangible assets were essentially identified and assessed as part of business model analyses:

Software: The costs for the self-developed software of the subsidiaries were usually not capitalised in the individual financial statements. The software was revalued as part of the purchase price allocation and amortised over five years.

Brand: The companies acquired through the platforms are regularly established and well-known in their specific niches so that a value can be assigned to the respective brand. The assets identified this way are depreciated over 15 years.

Order volume: The group's software companies, in particular, are characterised by a high proportion of maintenance contracts, which are accompanied by annual maintenance fee payments by the clients. Depending on the time of acquisition and the notice periods of the contracts, there are hidden reserves at the time of acquisition based on future sales that were disclosed as part of the purchase price allocation. The assets identified this way are reported under current assets and reversed over the remaining term of the contracts (usually one year).

Deferred tax liabilities accrued for the hidden reserves disclosed during the initial consolidation and the resulting timing and valuation differences between the trade and tax balances. These deferred taxes are recognised directly in equity upon initial consolidation. For the sake of simplicity, an average tax rate in the group of 30% was used to determine this. The deferred tax liabilities are reversed over the useful life of the respective assets, affecting income in the consolidated income statement.

The difference between the valuation at the direct parent company and the revalued equity of the subsidiaries is shown in **goodwill**, which is amortised over 10 years (linear depreciation). The goodwill reflects the long-term business relationships as well as the good operating earning power of the associated companies. The respective acquisition date of the subsidiaries was chosen as the valuation date.

There are minority shareholders at various levels in the corporate structure of the CHAPTERS Group. If capital consolidation takes place at the relevant level, the shares attributable to the minority shareholders in the depreciation and reversal of assets disclosed in the purchase price allocation and the goodwill are allocated to the share of other shareholders in the net profit for the year or in the equity carried forward (data in K EUR).

	Acquisition 2019-2022	Disposal/ write-offs 2019-2022	Depreciation / reversal 2019-2022	EB 2022 / AB 2023	Acquisition in 2023	Depreciation / reversal	EB 06/2023
Goodwill	71,175.8	-1,645.8	-10,141.4	59,388.6	25,667.3	-4,154.9	80,901.1
Intangible assets from revaluation	11,643.9	-398.2	-2,538.1	8,707.6	2,882.0	-922.6	10,666.9
Property, plant and equipment from revaluation	316.0		-24.0	292.0	0.0	-7.2	284.9
Order value from revaluation	2,829.8		-2,051.5	778.3	407.6	-364.8	821.1
Deferred tax liabilities	4,049.8		1,302.7	2,747.1	833.1	362.6	3,217.5
Effect on net income			-13,452.3			-7,010.0	
thereof shares held by other shareholders			3,690.3			1,772.4	
Share of consolidated earnings/loss carried forward			-9,762.0	-9,762.0		-5,237.6	-14,999.6

Financial position of the group

The group's **total assets** increased by around 11% in the first half of 2023 as a result of the ongoing acquisition activity of the investment platforms from EUR 169.28 million as of December 31, 2022, to EUR 188.75 million as of June 30, 2023.

The group's **fixed assets** increased in the first half of 2023 from EUR 129.61 million as of December 31, 2022, to EUR 138.60 million as of June 30, 2023, around 66% of which was attributable to goodwill and as part of the purchase price allocation and assets identified as part of the purchase price allocation (December 31, 2022: 53%).

The group's **financial assets** decreased in the first half of 2023 from EUR 57.10 million as of December 31, 2022, to EUR 42.02 million as of June 30, 2023. CHAPTERS Group AG, as the parent company, re-issued the shares it held in the perpetual bond in May 2023, which led to a decrease of EUR 10.72 million. In addition, the securities portfolio held by CHAPTERS Group AG was partially liquidated within the scope of the company's liquidity management, which – taking into account appreciations and depreciations in value – led to a decrease of EUR 16.94 million. Detailed information about the securities portfolio can be found in the explanations of the financial position of CHAPTERS Group AG as the ultimate parent company.

In addition, the shares in **associated companies** held by CHAPTERS Group AG or its 100% subsidiary MEDIQON Beteiligungsgesellschaft mbH in the amount of EUR 20.98 million (December 31, 2022: EUR 9.03 million) are reported here. The increase essentially results from the payment into the free capital reserve of Global Heart Beteiligungsgesellschaft mbH, in which the company holds a 41.73% stake. In total, CHAPTERS Group AG has invested an amount of around EUR 13.15 million in Global Heart Beteiligungsgesellschaft mbH, EUR 12.16 million thereof in the first half of 2023. Global Heart Beteiligungsgesellschaft mbH, in turn, holds 100% of the shares in the FIB Frankfurt International AG and has provided the company with equity capital of around EUR 14.50 million. FIB Frankfurt International AG intends to provide financial services.

The group's **current assets** increased from EUR 34.75 million to EUR 45.85 million in the first half of 2023, EUR 33.89 million thereof are attributable to **liquid assets** (December 31, 2022: EUR 26.28 million).

Prepaid expenses amounting to EUR 4.29 million (December 31, 2022: EUR 4.92 million) mainly relate to the discount on the perpetual bond issued by MEDIQON Group AG in May 2020, which will be reversed over the first 5 years of the term.

As a result of the capital increase carried out by CHAPTERS Group AG as the parent company in the first half of 2023, **equity** increased by EUR 6.32 million. On May 30, 2023, the increase in the company's share capital by EUR 432,666.00 from authorised capital, carried out as private placement, was entered into the commercial register, so the company's subscribed capital increased to EUR 16,499,266.00. The capital reserve increased from EUR 5.88 million to a total of EUR 97.79 million due to the corporate action. Taking into account the loss carried forward, consolidated interim losses, and the shares of other shareholders' equity at the different group levels, the group equity as of June 30, 2023, amounts to a total of EUR 94.81 million (December 31, 2022: EUR 92.178 million). The equity ratio is 50.2% (December 31, 2022: 54.5%).

The **provisions** amount to EUR 4.87 million as of June 30, 2023 (December 31, 2022: EUR 3.72 million). EUR 2.75 million thereof are tax provisions (December 31, 2022: EUR 1.80 million). For a number of subsidiaries, due to the income tax groups concluded between the acquisition company and the operating company, tax payments only occur at the end of the year, as little or no advance payments are made.

The **liabilities** amount to EUR 80.99 million as of June 30, 2023 (December 31, 2022: EUR 69.38 million). As in the previous year, an amount of EUR 25.00 million is due to the perpetual bond issued by CHAPTERS Group AG (then MEDIQON Group AG) in May 2020. Details about the bond can be found in the presentation of the financial and asset position of CHAPTERS Group AG as the parent company.

Accounts payable trade amounting to EUR 1.67 million essentially includes liabilities for purchased services at the level of the operating companies and decreased by EUR 0.16 million in the first half of 2023. An amount of EUR 0.17 million of the liabilities as of June 30, 2023, pertains to companies that became part of the group in the first half of 2023.

Payments received on orders amounting to EUR 0.99 million (December 31, 2022: EUR 1.10 million) are attributable to the two companies belonging to the group with a focus on skilled craft.

Amounts owed to credit institutions increased by EUR 13.23 million to EUR 40.64 million in the first half of 2023. An amount of EUR 7.36 million was borrowed for transactions that had already occurred in previous years. An amount of EUR 8.08 million was borrowed for transactions in the first half of 2023. Repayments on existing bank financing amounted to EUR 2.63 million. Due to the addition of companies to the scope of consolidation, bank liabilities have also increased by a total of EUR 0.16 million. At the operational level, liabilities of EUR 0.25 million were borrowed.

Other liabilities amount to EUR 12.69 million (December 31, 2022: EUR 14.04 million) and include liabilities to sellers amounting to EUR 5.92 million (December 31, 2022: EUR 9.68 million). In the first half of 2023, an amount of EUR 7.32 million in **seller loans** from previous years was repaid, and EUR

3.65 million in loans related to new transactions were granted. An amount of EUR 0.10 million was forgiven.

The **deferred income** increased by EUR 3.59 million to EUR 4.85 million compared to December 31, 2022. The reason is the accruals of sales from (software) maintenance contracts made as part of the preparation of the semi-annual consolidated financial statements. These contracts typically provide for invoicing for the entire fiscal year in January of the respective year.

The **deferred tax liabilities** in the amount of EUR 3.22 million (December 31, 2022: EUR 2.75 million) result from the purchase price allocation carried out as part of the capital consolidation.

Liquidity position of the group

The CHAPTERS Group AG group reported a **positive operating cash flow** of EUR 5.09 million in the reporting period (in the same period of last year: EUR 3.13 million).

The **cash flow from investing activities** amounted to a total of EUR -20.19 million (same period of the previous year: EUR -27.08 million), an amount of EUR 25.28 million (same period of the previous year: EUR 8.97 million) thereof was paid for the acquisition of operating companies. The payments for financial assets in the amount of EUR 12.16 million result from the payment into the free capital reserve of Global Heart Beteiligungsgesellschaft mbH. An amount of EUR 2.05 million comes from the acquisition of securities at the level of CHAPTERS Group AG and the provision of shareholder loans to minority interests. CHAPTERS Group AG achieved a positive cash flow of EUR 19.38 million from the sale of fixed asset securities.

The **cash flow from financing activities** amounts to EUR 20.76 million (same period of the previous year: EUR 39.24 million), of which EUR 6.32 million (same period of the previous year: EUR 41.60 million) resulted from the capital increases of CHAPTERS Group AG. An amount of EUR 9.65 million resulted from the re-issue of the perpetual bond by CHAPTERS Group AG in May 2023. At the level of the subsidiaries, bank financing amounting to EUR 15.79 million (in the same period of last year: EUR 3.19 million) was taken out, including EUR 15.44 million in connection with the acquisition of operating companies (including the refinancing of the transaction from the previous year). An amount of EUR 9.94 million was used to repay existing debt financing. EUR 7.32 million thereof related to the repayment of seller loans from previous years and EUR 2.63 liabilities to banks.

The amount of cash and cash equivalents acquired by the investment platforms as part of the acquisition of new operating companies amounts to EUR 1.94 million. Overall, **the cash and cash equivalents** increased to EUR 33.89 million as of June 30, 2023 (December 31, 2022: EUR 26.28 million).

Financial and liquidity position situation of CHAPTERS Group AG (parent company)⁷

Time of redemption	Redemption value in % of the nominal amount
05/27/2021	70.8%
05/27/2022	77.2%
05/27/2023	84.2%
05/27/2024	91.8%
From 05/27/2025	100.0%

The **balance sheet total**, as of June 30, 2023, increased by EUR 7.11 million to EUR 132.29 million compared to December 31, 2022. Taking into account the half-year net profit of EUR 0.65 million and the increase in the share capital and the capital reserve by a total of EUR 6.32 million (as part of the capital increases in May 2023), the company's **equity** as of June 30, 2023, increased to EUR 106.67 million (December 31, 2022: EUR 99.71 million).

As in the previous year, the perpetual bond issued in May 2020 is reported under **liabilities**. In May 2020, the company issued a perpetual bond with a nominal value of EUR 25.00 million and no maturity. Annual interest payments of 7% of the nominal value will begin five years after issue, for the first time on May 28, 2026. The issue price was 65% of the nominal value. The bond can be called annually at fixed repayment values (see table). The initial discount of EUR 8.75 million is recognised in deferred items and is reversed proportionally according to the development of the repayment value via interest expense. As of June 30, 2023, an amount of EUR 3.77 million remains.

In May 2023, the company re-issued the shares in the perpetual bond it held itself that were reported in financial assets as of December 31, 2022, with their pro rata repayment value of EUR 10.17 million.

The **shares in associated companies** increased from EUR 9.47 million to EUR 21.92 million in the first half of 2023. The company paid a total of EUR 12.45 million into the free capital reserve of MEDIQON Beteiligungsgesellschaft mbH. MEDIQON Beteiligungsgesellschaft mbH essentially used the funds to make payments into the free capital reserves of Global Heart Beteiligungsgesellschaft mbH (again made via the subsidiary) as explained in the notes of the group's financial and asset position.

The shares in NPV Nachfolge Beteiligungen GmbH held by CHAPTERS Group AG in the amount of EUR 0.20 million (December 31, 2022: 0.20 million) are reported under **participations**. The holdings in MedNation AG (formerly Eifelhöhen-Klinik AG), based in Düsseldorf (WKN 565 360), are also reported here. CHAPTERS Group AG has held around 20% of the company's shares since November 3, 2021. The shares are accounted for at acquisition cost.

In its role as a group holding company, CHAPTERS Group AG provides the necessary funds for the acquisition of new operating companies through the investment platforms and, to a smaller extent, to finance the development of business operations in the form of shareholder loans or payments into the capital reserves of subsidiaries. When financing the acquisition of operating companies, part of the acquisition price is usually financed through debt capital provided by banks. If bridge financing is necessary for the period between the acquisition of the company and the provision of debt capital as part of the transaction process, it will be provided through shareholder loans.

⁷ The notes on the financial and liquidity position of CHAPTERS Group AG are included in the audit review of the interim consolidated financial statements; an audit review of the individual financial statements did not take place.

Refinancing usually takes place within a few weeks. The interest accruing on the shareholder loans can be accumulated or paid at the discretion of the subsidiaries. In principle, it is intended for the subsidiaries to pay the interest.

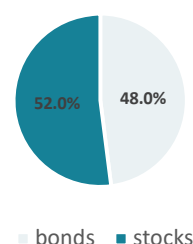
In the first half of 2023, an amount of EUR 1.40 million (same period of the previous year: EUR 1.02 million) in interest from the previous and current fiscal year was received.

The bridge loans and accumulated interest are reported under current assets as **receivables from affiliated companies and participations**. As of June 30, 2023, the amount was EUR 6.05 million (December 31, 2022: EUR 9.62 million) and essentially includes accumulated interest (including interest from previous years).

Such shareholder loans, which are not to be replaced through short-term refinancing but are to be repaid over the next few years from the operating cash flow of the acquired companies, are accounted for in fixed assets as **loans to affiliated companies and participations** due to their longer-term nature. Overall, the amount of long-term shareholder loans increased by EUR 20.59 million to EUR 54.69 million in the fiscal year and reflects the investment activities of the investment platforms in the first half of 2023.

In addition, CHAPTERS Group AG invests some of the funds in securities as part of **liquidity management**. As of June 30, 2023, the market value of the securities portfolio (excluding the shares in MedNation AG) is EUR 17.81 million (December 31, 2022: EUR 34.58 million). The equity investments are valued in accordance with the strict lower of cost or market principle under commercial law (Section 253 Para. 3 S. 5 HGB) at the lower of the fair value of the acquisition costs and the market value as of June 30, 2023, whereby a depreciation on the market value is only made if the market value is at least 5% below the acquisition costs. The bond investments are valued at the lower of the acquisition cost and nominal value. From the company's perspective (as of the reporting date), the investments carry no credit or liquidity risk.

Structure of the securities portfolio as of June 30, 2023 (market values)



The total balance sheet recognition for the securities portfolio is EUR 19.54 million, which is higher than the market value on the balance sheet date due to the bonds included. As of the balance sheet date, the portfolio consisted of 15 items, three of which were convertible bonds, two corporate bonds, and ten stocks. Based on the market value as of June 30, 2023, the share of the individual stocks in the entire portfolio is between 1.58% and 17.40%.

Liquidity situation of CHAPTERS Group AG

In the first half of 2023, the company liquidated part of the securities portfolio it managed as part of its liquidity management. The resulting cash flow – supplemented by the funds received by the company from the capital increase and the re-issue of the shares in the bond held by the company – was used to issue new shareholder loans for the acquisition of further operating companies under the platform subsidiaries and to invest in the equity of subsidiaries. In addition, the cash and cash equivalents were increased.

	06/2023 in K EUR	06/2022 in K EUR	2022 in K EUR
Bank balances at the beginning of the fiscal year	17,708.5	3,648.2	3,648.2
Cash flow from shareholder loans & investments in subsidiaries	-26,887.7	-1,085.1	- 12,984.9
Issued shareholder loans	-26,900.1	-10,705.7	- 25,235.8
Repayments from refinancing through bank loans	11,062.5	+ 8,585.8	+ 18,883.0
Interest received	1,398.4	+ 1,034.8	+ 1,702.0
Investment in the equity of subsidiaries	-12,448.5	0.0	- 8,334.2
Cash flow from securities investments	17,549.8	-23,777.0	- 28,267.6
Outflow from the purchase of securities	-1,966.0	-27,324.6	- 41,960.1
Outflow from the purchase of shares in Eifelhöhen-Klink AG	0.0	0.0	+ 10.3
Inflow from the sale of securities	19,381.6	+ 3,346.4	+ 12,989.7
Inflow from interest and dividends on securities (after taxes)	134.1	+ 201.1	+ 692.5
Cash flow from corporate actions and financing activities	15,944.9	41,494.8	+ 56,930.1
Inflow from capital increases (after costs)	6,297.8	+ 41,494.8	+ 56,930.1
Inflow from repurchase/issuance of the perpetual bond (after costs)	9,647.1	0.0	0.0
Other cash flow from operations	-921.7	- 906.7	- 1,617.2
Bank balances at the end of the fiscal year	23,393.9	19,374.1	17,708.5
Securities account at the end of the fiscal year (market value⁸)	19,424.40	37,373.63	36,688.8

Results of operations of the group

Turnover in the fiscal year amounted to EUR 33.65 million (same period of the previous year: EUR 19.06 million). An amount of EUR 11.31 million results from companies that were not part of the group in the same period of the previous year.

The **decrease in the inventory of finished and unfinished products and services** of EUR 0.58 million (same period of the previous year: decrease of EUR 0.21 million) includes EUR 0.36 million (same period of the previous year: EUR 0.27 million) from the reversal of the order backlog disclosed as part of the purchase price allocation. The additional decrease of EUR 0.28 million results from companies that were not part of the group in the same period of the previous year.

The **other operating income** of EUR 2.21 million (same period of the previous year: EUR 5.38 million) results primarily from income from the disposal of and appreciation in value of securities at the level of CHAPTERS Group AG. The previous-year figure also includes one-off income from the disposal of companies from the scope of consolidation.

The **cost of materials** amounts to EUR 5.64 million (same period of the previous year: EUR 2.74 million). An amount of EUR 1.6 million is attributable to companies that were not part of the group in the same period of the previous year.

⁸ incl. MedNation AG

Around two-thirds of the increase in **expenses for raw materials, supplies, and purchased goods** is attributable to companies that were not part of the group in the same period of the previous year. In the second half of the last fiscal year, 2022, the company Wassermann GmbH became part of the group of consolidated companies through a subsidiary of NGC Nachfolgekapital GmbH. The company offers, among other things, installation, exchange, and repairs of electronic gate and door systems, barriers, as well as fire and smoke protection systems, and thus has a quite high cost of goods inherent to the business model.

Personnel expenses amount to EUR 17.00 million (in the same period of last year: EUR 8.52 million). An amount of EUR 6.33 million thereof is attributed to additions to the scope of consolidation. The increase in the personnel expense ratio from 44.7% to 50.5% is also largely due to the changes in the scope of consolidation. In the second half of 2022, companies were added to the group with a higher personnel cost ratio than the consolidated group as of June 30, 2022.

Depreciation amounts to EUR 5.62 million (same period of the previous year: EUR 3.64 million), of which EUR 0.93 million (same period of the previous year: EUR 0.64 million) is attributable to depreciation on assets identified as part of the purchase price allocation and EUR 4.15 million (same period of the previous year: EUR 2.62 million) on depreciation on goodwill resulting from capital consolidation. The increase of EUR 1.43 million results from the addition of further companies to the group in the second half of 2022 and the first half of 2023. Furthermore, the depreciation on the companies acquired between January 1, 2022 and June 30, 2022, became relevant for the entire six-month period for the first time on June 30, 2023.

Other operating expenses amount to EUR 8.23 million (same period of the previous year: EUR 5.44 million). An amount of EUR 1.26 million thereof relates to companies that were not part of the group in the same period of the previous year. In addition, the losses from the disposal of fixed assets, which mainly resulted from disposals from the CHAPTERS Group AG securities portfolio, increased by EUR 0.99 million compared to the same period in the previous year. Also included for the first time are expenses from currency conversion in the amount of EUR 0.23 million, which essentially result from the provision of shareholder loans by CHAPTERS Group AG in EUR to the subsidiary in Prague, which reports its balance sheets in Czech koruna. A detailed breakdown of other operating expenses is included in the notes to the consolidated financial statements.

For the calculation of the **EBITDA** (earnings before taxes, interest, depreciation, and amortisation) of EUR 4.70 million at group level (same period of the previous year: EUR 3.43 million), in addition to depreciation, the reduction in the inventory of finished products resulting from the reversal of the order backlog disclosed as part of the purchase price allocation is also added to the earnings before taxes. Income and losses from the disposal of fixed assets and associated costs are not included in the calculation.

	01/01/- 06/30/2023	01/01/- 06/30/2022	01/01/- 12/31/2022
Earnings before interest and taxes, according to the consolidated income statement	€ -1.21 MM	€ 3.91 MM	€ 2.51 MM
+ Increase in inventory from purchase price allocation	€ 0.36 MM	€ 0.27 MM	€ 0.58 MM
+ Depreciation	€ 5.62 MM	€ 3.64 MM	€ 7.99 MM
- Income from disposal and write-ups on fixed assets	€ -1.81 MM	-€ 5.09 MM	-€ 6.55 MM
+ Losses from the disposal of fixed assets	€ 1.49 MM	€ 0.51 MM	€ 0.82 MM
+ Disposal costs and start-up costs (other operating expenses)	€ 0.0 MM	€ 0.20 MM	€ 0.35 MM
+/- Expenses/income from currency conversion	€ 0.24 MM	€ 0.00 MM	€ 0.00 MM
= EBITDA after income from disposals of fixed assets	€ 4.70 MM	€ 3.43 MM	€ 5.70 MM

The **financial result** amounts to a total of EUR -1.49 million (same period of the previous year: EUR -2.57 million). The **result from associated companies** amounts to EUR 0.31 million (same period of the previous year: EUR -0.15 million). The composition of the results can be found in the (condensed) notes to the consolidated financial statements.

Other **interest and similar income** amounts to EUR 0.88 million (same period of the previous year: EUR 0.54 million). EUR 0.36 million thereof (same period of the previous year: EUR 0.40 million) are from interest income from the shares in the perpetual bond held by CHAPTERS Group AG.

Interest and similar expenses amounting to EUR 1.85 million (same period of the previous year: EUR 1.09 million) include EUR 0.88 million (same period of the previous year: EUR 0.81 million) of interest expenses resulting from the perpetual bond on the level of CHAPTERS Group AG. The interest expense at the level of the subsidiaries results from interest on external financing (bank and seller loans) taken out to refinance the purchase prices paid and, to a lesser extent, from interest on loans provided by minority shareholders. The increase results from the additional raising of bank financing within the scope of the ongoing acquisitions.

Taxes on income and earnings amount to a total of EUR 1.48 million (same period of the previous year: EUR 0.80 million), of which EUR 0.36 million (same period of the previous year: EUR 0.26 million) comes from the reversal of deferred tax liabilities. The results of the purchase price allocation are offset against taxes incurred at the individual company level of EUR 1.84 million (same period of the previous year: EUR 1.06 million). An amount of EUR 0.34 million thereof is attributable to companies that were not part of the group in the same period of the previous year.

The **net loss for the year** in the group amounts to a total of EUR 4.20 million (same period of the previous year: annual net profit EUR 0.52 million). An amount of EUR -1.20 million thereof (same period of the previous year: EUR 0.46 million) is attributable to minority shareholders at various levels of the group, and an amount of EUR -3.00 million (same period of the previous year: EUR 0.06 million) to the parent company. The consolidated result, as of June 30, 2022, includes one-off high income from the disposal of companies from the scope of consolidation. For the consolidation-related effects on the consolidated result, please refer to the reconciliation of the consolidated loss to the adjusted earnings per share in the business development presentation.

Results of operations of CHAPTERS Group AG (parent company)⁹

As in previous years, CHAPTERS Group AG essentially operated as a holding company in the first half of 2023.

In the first half of 2023, income of EUR 1.04 million was generated from the sale of investment securities (same period of the previous year: EUR 0.32 million). In addition, as of December 31, 2022, impairments on securities held as fixed assets from previous years were reversed through write-ups amounting to EUR 0.69 million (same period of the previous year: EUR 0.06 million). **Depreciation on financial assets and fixed-asset securities** in the first half of 2023 amounts to EUR 0.91 million (same period of the previous year: EUR 2.13 million). The **losses from the disposal of financial assets** include a loss of EUR 0.60 million (same period of the previous year: EUR 0.51 million) on the securities portfolio. An amount of EUR 0.89 million results from the re-issue of the perpetual bond.

The **interest income** from the shareholder loans granted (including the loans to companies in which CHAPTERS Group AG holds a minority stake) amounts to a total of EUR 2.58 million (same period of the previous year: EUR 1.71 million). The significant increase in interest income reflects the investment activity of the investment platforms in the past twelve months and the resulting increase in shareholder loans provided by CHAPTERS Group AG for the acquisition.

The **interest expenses** in the first half of 2023 amount to EUR 0.89 million (same period of the previous year: EUR 0.81 million) and were mainly incurred for the perpetual bond. This is offset by interest income from the shares in the bond held until the end of May 2023 (amounting to 50% of the nominal value) of EUR 0.36 million (same period of the previous year: EUR 0.40 million). In May 2023, the company re-issued the full amount of the bond it held.

The costs of CHAPTERS Group AG as an individual company are essentially split into personnel, legal, and consulting expenses, as well as costs arising from the type of enterprise.

Personnel expenses amounted to EUR 0.24 million in the first half of 2023 (same period of the previous year: EUR 0.19 million). **Other operating expenses** (excluding losses from the disposal of financial assets) amount to EUR 0.67 million (same period of the previous year: EUR 1.19 million). The reduction is due to the capital increase carried with subscription rights out in the first half of 2022 and the associated legal and consulting costs.

Overall, the company reported an annual profit of EUR 0.65 million as of June 30, 2023 (annual loss of EUR 2.05 million in the same period of the previous year). The **net loss** is therefore reduced to EUR 7.61 million (December 31, 2022: EUR 8.26 million).

⁹ The notes on the results of operations of CHAPTERS Group AG are included in the audit of the interim consolidated financial statements; an audit review of the individual financial statements did not take place.

C. Risk and Opportunity Report

CHAPTERS Group AG pursues the goal of increasing the group's corporate value in the long term and sustainably. To this end, the existing company investment portfolio is to be further expanded over the coming years, and the value of the existing operating companies is to be increased continuously.

In principle, CHAPTERS Group AG, as a group, benefits from the diversified composition of its company portfolio so that positive developments in other companies can mitigate the effects of individual operating companies potentially failing to meet development goals.

The main opportunities and risks for the group as a whole and for CHAPTERS Group AG as the parent company of the group essentially result from further growth through the acquisition of further operating companies and are presented in the summarised management report for the 2022 fiscal year.

There were no significant changes in the assessment of opportunities and risks in the reporting period compared to the opportunities and risks presented in the summarised management report for the 2022 fiscal year.

D. Outlook report

A forecast for the development of CHAPTERS Group AG as a group remains difficult for the remaining half of the year. By the time the consolidated interim financial statements for the first half of 2023 were prepared, five transactions had taken place through the **investment platforms**, two of which were carried out by Ookam Software GmbH and two by a subsidiary of NGC Nachfolgekapital GmbH in the field of technical services for gate and door systems. CarMa Holding GmbH has acquired 100% of the shares in Glasfaser Direkt GmbH and its subsidiaries, Jobst NET GmbH and Eifel NET GmbH, within the scope of insolvency proceedings.

Furthermore, 100% of the shares in ARUDI GmbH as an acquisition company, as well as the operating companies gelford GmbH Gebäudereinigung und Dienstleistungen, Diamant Gebäudereinigungsdienst GmbH and Calmund & Riemer GmbH, were sold to the NGC management team as part of a management buyout.

In July 2023, the company acquired an 80% stake in mlog capital SAS, based in France. The newly founded company intends to act as an investment platform to acquire software companies in niche markets in France.

Based on the existing group structure at the time the consolidated interim financial statements for the first half of 2023 were prepared, we assume that the revenue of the operating portfolio companies (considered for the entire 2023 fiscal year, regardless of the time of acquisition, including the contribution from companies in which CHAPTERS Group AG holds a minority share) will amount to EUR 74 to 84 million. We surmise a value of EUR 20 to 24 million for the adjusted operating EBITDA. Thereof, an amount of EUR 15.5 to 18 million is attributable to operating companies in which CHAPTERS Group AG directly or indirectly holds more than 50% of the shares.

We assume that the group will continue to develop dynamically in the remaining months of 2023 and that additional companies will become part of the group.

With regard to the Base Value, we continue to surmise that it will be between 6.80 and 7.80 euros per share at the end of 2023. Short-term distortions on the capital markets can have a significant impact on the determination of the value as of the reporting date due to the inclusion of the securities portfolio at market value. At the level of CHAPTERS Group AG as an individual company, we continue to surmise that the pre-tax result before income or losses from the securities account and income taxes will be around EUR 2.50 million.

Hamburg, September 27, 2023

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Jan-Hendrik Mohr (Chairman)

.....
Marlene Carl



**Condensed
interim consolidated financial statement
as of
June 30, 2023**

Consolidated Balance Sheet	Page 27
Consolidated Income Statement	Page 28
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CHAPTERS Group AG – condensed INTERIM GROUP ACCOUNTS 2023
CONSOLIDATED BALANCE SHEET as of June 30, 2023

	06/30/2023 KEUR	12/31/2022 KEUR		06/30/2023 KEUR	12/31/2022 KEUR
A. Fixed assets	138,600.09	129,611.99	A. Equity	94,814.24	92,178.98
I. Intangible assets	92,539.88	69,046.42	I. Subscribed capital	16,499.27	16,066.60
1. Purchased concession, industrial property rights and similar rights and assets	11,474.99	9,521.68	II. Capital reserves	97,786.92	91,902.66
<i>thereof from purchase price allocation</i>	<i>10,666.87</i>	<i>8,707.47</i>	III. Exchange rate differences from revaluation	275.73	
2. Goodwill	81,064.89	59,512.03	IV. Profit/loss carried forward	-14,207.01	-8,321.98
3. Advance payments on intangible assets	0.00	12.71	V. Net income/loss	-2,996.73	-5,885.03
			VI. Shares of other shareholders	-2,543.94	-1,583.28
II. Property, plant and equipment	4,038.38	3,468.15	B. Provisions	4,874.46	3,716.55
1. Land / Buildings	1,405.59	1,389.82	1. Tax provisions	2,746.95	1,795.04
<i>thereof from purchase price allocation</i>	<i>284.88</i>	<i>292.06</i>	2. Other provisions	2,127.51	1,921.51
2. Technical equipment and machinery	702.14	495.41	C. Liabilities	80,990.23	69,380.12
3. Other equipment and fixtures, and fittings	1,843.03	1,567.00	1. Bond	25,000.00	25,000.00
4. Payments on account and assets under construction	87.62	15.92	2. Amounts owed to credit institutions	40,635.54	27,411.06
III. Financial assets	42,021.83	57,097.41	3. Advance payments received on orders	992.20	1,104.70
1. <i>Shares in affiliated companies</i>	20,975.69	9,028.05	4. Liabilities from goods and services	1,669.39	1,827.41
2. <i>Loans to affiliated companies</i>	1,245.55	1,158.53	5. Other liabilities	12,693.10	14,036.95
3. Other participations in companies	12.50	12.50	<i>thereof from seller loans</i>	<i>5,917.51</i>	<i>9,679.83</i>
4. Securities held as fixed assets	19,788.09	36,725.73	<i>thereof from minority shareholders</i>	<i>2,015.58</i>	<i>1,981.83</i>
5. Shares of perpetual bond in own portfolio	0.00	10,172.60	D. Deferred income	4,850.46	1,261.61
B. Current assets	45,852.25	34,749.72	E. Deferred tax liabilities	3,217.53	2,747.11
I. Inventories	2,225.06	2,395.25			
1. Raw materials and supplies	518.80	518.28			
2. Work in progress, unfinished services	675.65	888.12			
3. Finished Goods	1,017.16	974.29			
<i>thereof from purchase price allocation</i>	<i>821.05</i>	<i>778.21</i>			
4. Advance payments made	13.45	14.56			
II. Receivables and other assets	9,735.77	6,075.98			
1. Accounts receivables	4,724.26	3,918.75			
2. Receivables from companies in which a participation is held	198.53	156.48			
3. Other assets	4,812.98	2,000.75			
III. Cash on hand, bank balances	33,891.42	26,278.50			
C. Deferred items	4,294.56	4,922.65			
Total assets	188,746.91	169,284.36	Total liabilities	188,746.91	169,284.36

	01/01/ - 06/30/23 K EUR	01/01/ - 06/30/22 K EUR	01/01/ - 12/31/22 K EUR
1. Revenues	33,654.51	19,064.46	42,067.30
2. Increase or decrease in inventories of finished goods and work-in-progress	-582.30	-205.16	118.29
<i>thereof from purchase price allocation</i>	-364.76	-271.65	-581.32
<i>thereof other changes</i>	-217.55	66.49	699.62
Gross performance	33,072.20	18,859.30	42,185.60
3. Other operating income	2,212.35	5,385.56	7,715.53
a) Ordinary operating income	385.96	291.17	1,038.22
b) Income from the disposal of and from additions to fixed assets	1,808.67	5,088.25	6,554.25
c) Income from the reversal of provisions	16.52	0.18	119.72
d) Other income	0.41	5.95	3.33
e) Income from foreign currency conversion	0.80		
4. Cost of Materials	-5,644.26	-2,735.60	-7,197.32
a) Expenses for raw materials and supplies and purchased goods	-2,090.72	-529.69	-2,526.89
b) Expenses for purchased services	-3,553.54	-2,205.90	-4,670.43
5. Personnel expenses	-16,995.76	-8,523.64	-20,162.68
a) Wages and salaries	-13,802.82	-6,930.82	-16,646.73
b) Social Security contributions and expenses for pensions and assistance	-3,192.94	-1,592.81	-3,515.95
<i>Thereof for pensions</i>	-76.66	-78.21	-181.97
6. Depreciation	-5,623.73	-3,641.84	-7,989.58
a) On intangible assets and property, plant and equipment	-5,623.63	-3,641.84	-7,989.31
<i>thereof from assets from purchase price allocation</i>	-929.77	-640.04	-1,338.48
<i>thereof on goodwill</i>	-4,154.86	-2,618.48	-5,649.04
b) On current assets			
<i>(as far as these exceed the depreciation that is customary in the company)</i>	-0.10	0.00	-0.27
7. Other operating expenses	-8,234.12	-5,438.12	-12,041.44
a) Ordinary operating expenses	-6,505.42	-4,926.12	-11,185.36
b) Expenses from currency conversion	-234.64	0.00	0.00
c) Losses from the disposal of fixed assets	-1,493.25	-505.06	-822.36
d) Losses from impairments and the disposal of current assets and additions to the allowance for receivables	-0.80	-6.94	-33.72
Earnings before interest and taxes	-1,213.32	3,905.66	2,510.11
7. Results from associated companies	306.68	-147.74	-352.75
8. Income from other securities and loans held as fixed assets	82.02	253.52	413.13
9. Other interest and similar income	882.86	540.55	1,189.94
<i>Results from associated companies</i>	362.78	403.70	844.79
<i>Income from other securities and loans held as fixed assets</i>	0.00	52.17	0.00
<i>Other interest and similar income</i>	49.07	41.07	77.22
10. Write-downs on financial assets and securities held as current assets	-908.29	-2,127.59	-6,932.46
<i>thereof unscheduled</i>	-908.29	-2,127.59	-6,932.46
11. Interest and similar expenses	-1,854.18	-1,090.76	-2,629.06
<i>thereof for perpetual bond</i>	-881.30	-807.40	1,689.59
12. Taxes on income and earnings	-1,480.24	-803.49	-810.01
<i>thereof from the reversal of deferred tax liabilities</i>	362.63	256.14	558.83
Results after taxes	-4,184.47	530.16	-6,611.10
13. Other taxes	-11.09	-9.87	6.76
Net loss/ -profit for the first half year	-4,195.56	520.29	-6,604.34
Share of other shareholders	-1,198.82	457.03	-719.31
Group net loss/ -profit for the first half year	-2,996.73	63.26	-5,885.03

	Attributable to the shareholders of the parent company					Attributable to the shares of other shareholders					Group equity
	Share capital KEUR	Capital reserve KEUR	Currency difference from revaluation KEUR	Net result KEUR	Equity KEUR	Share capital KEUR	Capital reserve KEUR	Revaluation reserves KEUR	Net result KEUR	Equity KEUR	
January 01, 2023	16,066.60	91,902.66		-14,207.01	93,762.25	150.76	444.21	56.68	-2,234.92	-1,583.28	92,178.98
Capital increase 05/2023	432.67	5,884.26			6,316.92					0.00	6,316.92
Profit distributions							-11.11			-11.11	-11.11
Changes in the scope of consolidation			275.73		275.73	7.61	13.41	101.46		122.48	398.21
Other changes							126.80			126.80	126.80
Group result				-2,996.73	-2,996.73				-1,198.82	-1,198.82	-4,195.56
As of June 30, 2023	16,499.27	97,786.92	275.73	-17,203.74	97,358.17	158.37	573.30	158.13	-3,433.74	-2,543.94	94,814.24

The shares of the share capital attributable to the non-controlling interests correspond to the proportionate participation of the respective minority shareholder in the share capital of the relevant subsidiaries. The shares in the capital reserve essentially result from contributions from minority shareholders into the capital reserve of the acquisition companies as part of the transaction structures. The funds paid in have priority over the share capital and are therefore allocated to the shares of other shareholders. The shares of other shareholders in the revaluation reserve result from the capital consolidation. To the extent that minority shareholders hold a direct interest in the acquired company, their share of the purchase price allocation is shown here. The shares in the positions attributable to the group are eliminated as part of the capital consolidation.

The item currency difference from revaluation stems from the Czech subsidiary added to the group in the first half of 2023. Different exchange rates during the valuation at the time of acquisition and the preparation of the half-year accounts result in a difference in the revalued assets from the purchase price allocation, which is offset through this item. An amount of K EUR 68.93 thereof is included in the minority shares in the revaluation reserve. The difference between the purchase prices paid and the shares of equity attributable to minorities is reported in the consolidated financial statements under goodwill. The other changes involve disproportional payments by CHAPTERS Group AG into the capital reserves of subsidiaries. The share of these payments attributable to the minority shareholders is reported in the equity attributable to other shareholders.

	01/01/ - 06/30/23 K EUR	01/01/ - 06/30/22 K EUR	01/01/ - 12/31/22 K EUR
Period result (including minority interests)	-4,195.56	520.29	-6,604.34
Amortisation of order volume/inventory from the purchase price allocation	364.76	271.65	581.32
Depreciation/write-ups on property, plant, and equipment <i>thereof to assets disclosed as part of the purchase price allocation</i>	353.82	157.74	526.90
Depreciation/write-ups of financial assets	217.49	2,127.59	6,932.46
Depreciation/write-ups of intangible assets <i>thereof to assets identified as part of the purchase price allocation</i> <i>thereof on goodwill</i>	5,269.81 929.77 4,154.86	3,484.10 640.04 2,618.48	7,462.40 1,338.48 5,649.04
Increase/decrease in provisions	-319.22	-154.61	264.47
Other non-cash expenses/income	-169.87	120.47	319.52
Increase/decrease in inventories, accounts receivable and other assets (unless investing/financial activity)	-2,641.77	-1,215.65	-1,075.46
Increase/decrease in accounts payable and other liabilities (unless investing/financial activity)	4,358.55	1,630.85	1,954.78
Profit/loss from disposal of fixed assets	380.39	-4,583.20	-5,731.89
Interest expenses/Interest income	971.32	550.20	1,439.12
Other investment income	-82.02	-253.52	-413.13
Income tax expenses/income	1,842.87	1,059.63	1,368.85
Income tax payments	-898.26	-327.08	-773.33
Reversal of deferred taxes from purchase price allocation	-362.63	-256.14	-558.83
Cash flow from operations	5,089.68	3,132.33	5,692.83
Proceeds from disposals of intangible assets	0.00	0.00	1.96
Payments for investments in intangible assets	-104.02	-183.99	-286.45
Proceeds from disposals of property, plant and equipment	71.34	16.99	23.32
Payments for investments in property, plant and equipment	-716.55	-317.13	-1,733.56
Proceeds from disposals of financial assets	19,381.60	7,269.04	12,999.97
Payments for investments in financial assets	-14,205.62	-27,374.59	-48,138.08
Payments for additions to the scope of consolidation	-25,278.44	-8,971.72	-23,204.49
Proceeds from disposals to the scope of consolidation	0.00	2,150.39	6,115.69
Interest and dividend payments received	665.85	329.87	1,010.12
Cash flow from investment activity	-20,185.84	-27,081.15	-53,211.52
Proceeds from corporate actions of CHAPTERS Group AG	6,316.92	41,598.13	57,073.50
Proceeds from equity contributions from other shareholders	5.00	42.50	87.50
Change in liabilities to shareholders	-53.71	40.54	315.91
Payments to company owners and minority shareholders	-11.11	-91.11	-91.11
Proceeds from the issue of bonds and taking out (financial) loans	25,439.22	3,190.40	11,166.12
Payouts from the repayment of bonds and (financial) loans	-9,944.90	-5,324.14	-9,020.22
Interest paid	-986.53	-213.75	-755.28
Cash flow from financing activities	20,764.89	39,242.57	58,776.42
Changes in cash and cash equivalents	5,668.72	15,293.75	11,257.73
Cash and cash equivalents at the beginning of the period	26,278.50	10,909.71	11,093.69
Changes in cash and cash equivalents due to the scope of consolidation	1,944.21	536.79	3,927.07
Cash and cash equivalents at the end of the period	33,891.42	26,740.25	26,278.50

Der Finanzmittelfonds entspricht dem Bilanzposten „Kassenbestand und Guthaben bei Kreditinstituten“. Die sonstigen zahlungsunwirksamen Aufwendungen enthalten das Ergebnis aus assoziierten Unternehmen. Neben den zahlungswirksam aufgenommenen Bankfinanzierungen wurden im ersten Halbjahr 2023 insgesamt EUR 3,63 Mio. an Kaufpreiszahlungen durch die Verkäufer gestundet. Diese Verkäuferdarlehen sind nicht liquiditätswirksam. Rückzahlungen auf in der Vergangenheit aufgenommene Verkäuferdarlehen sind in den Auszahlungen aus der Tilgung von Anleihen und (Finanz-) Krediten enthalten.

A. General Disclosures

By resolution of the Annual General Meeting on June 29, 2023, and registration on July 26, 2023, the company changed its name to CHAPTERS Group AG (formerly MEDIQON Group AG) and relocated its registered office to Hamburg. The company is registered in the Hamburg commercial register under HRB 182147 (formerly the Königstein District Court under the register number HRB 4906). The company's shares have been traded over the counter since June 3rd, 2005. The open market is not an organised market within the meaning of section 2 (5) WpHG (German Securities Trading Act).

CHAPTERS Group AG invests – usually indirectly through subsidiaries – in companies predominantly based in the DACH region. As of the balance sheet date, the company directly or indirectly holds majority shares in 62 companies, 34 of which are operating subsidiaries. As of the balance sheet date, the company has six minority interests in which it holds more than 20%, one of which is in a listed AG.

The consolidated interim financial statements for the period from January 1, 2023, to June 30, 2023, include a consolidated balance sheet, a consolidated profit and loss statement, a consolidated equity development and a consolidated cash flow statement, as well as condensed consolidated notes. The consolidated income statement was prepared in accordance with Section 275 Paragraph 2 HGB in conjunction with Section 298 Paragraph 1 HGB using the total cost method.

The interim group management report of the CHAPTERS Group AG group was combined with the management report of CHAPTERS Group AG in accordance with Section 315 (5) HGB and Section 298 (2) HGB.

B. Scope of consolidation and consolidation methods

Scope of consolidation

In accordance with Section 294 (1) of the German Commercial Code (HGB), all companies in which CHAPTERS Group AG directly or indirectly holds more than 50% of the capital are included in the consolidated financial statements. Companies in which the indirect holding of CHAPTERS Group AG is less than 50%, but at each level of the investment chain, more than 50% of the capital is held by a group company, are also included. Companies in which CHAPTERS Group AG holds less than 50% of the capital but has more than 50% of the voting rights do not exist as of June 30, 2023.

As of June 30, 2023, the scope of consolidation includes the parent company and 62 companies (December 31, 2022: 53 companies) that are fully consolidated. Three companies are based in Austria (one acquisition company and two operating companies), and two are based in the Czech Republic (one acquisition company and one operating company). The Czech company also holds 100% of the shares in a company based in Slovakia. All other companies are based in Germany. Six companies (December 31, 2022: six companies) in which CHAPTERS Group AG indirectly holds more than 20% but less than 50% of the capital are included in the consolidated financial statements as associated companies using the equity method.

Fully consolidated companies as of June 30, 2023

No.	Company	Registered office	Category	Share CHAPTERS Group AG	Participation via no..	Share direct parent company	Part of the group since	Included as of 06/30/ 22	Included as of 12/31/2022
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Parent company

1	CHAPTERS Group AG	Hamburg							
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Direkt Participations

2	MEDIQON Beteiligungsgesellschaft mbH	Königstein	Investment holding	100.00	1	100.00	Feb 19	✓	✓
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Indirect participations (Level 1)

3	NGC Nachfolgekapital GmbH	München	Participation platform	80.00	2	80.00	Mar 19	✓	✓
4	Ookam Software GmbH	Berlin	Participation platform	80.00	2	80.00	May 19	✓	✓
5	CarMa Holding GmbH	Aalen	Participation platform	80.00	2	80.00	Jun 21	✓	✓
6	MEDIQON Beteiligungen Verwaltungs GmbH	Königstein	Participation holding	100.00	2	100.00	Aug 22	✓	✓
7	MEDIQON Beteiligungen 1 GmbH & Co. KG	Hamburg	Participation holding	100.00	2	100.00	Aug 22	✓	✓

Indirect Participations under NGC Nachfolgekapital GmbH (No. 3)

8	GfW Gesellschaft für Weiterbildung mbH	Berlin	Acquisition company	62.27	3	77.84	Dec 20	✓	✓
9	Speakeasy Berlin GmbH	Berlin	Operating company	62.27	8	100.00	Dec 20	✓	✓
10	Speakeasy München GmbH	München	Operating company	54.80	8	88.00	Mar 21	✓	✓
11	Strassenberger Akademie GmbH	Berlin	Operating company	49.82	8	80.00	Mar 21	✓	✓
12	Kunstschule Wandsbek GmbH	Hamburg	Operating company	62.27	8	100.00	Mar 21	✓	✓
13	Die Neue Schule GmbH	Berlin	Operating company	62.27	8	100.00	Apr 23		
14	Die Neue Schule GbR	Berlin	Operating company	62.27	8	100.00	Apr 23		
15	Kältehelden GmbH	Hamburg	Operating company	64.00	3	80.00	Aug 20	✓	✓
16	ARUDI GmbH (formally NGC Dienstleistungen GmbH)	Essen	Acquisition company	80.00	3	100.00	May 20	✓	✓
17	Gelford GmbH Gebäudereinigung und Dienstleistungen	Essen	Operating company	80.00	16	100.00	Jun 20	✓	✓
18	Diamant Gebäudereinigungsdienst GmbH	Bremen	Operating company	80.00	16	100.00	Dec 22		pro-rata
19	Calmund & Riemer GmbH	Duisburg	Operating company	80.00	16	100.00	Apr 22	pro-rata	pro-rata
20	NGC CNC Beteiligungen GmbH	München	Acquisition company	72.00	3	90.00	Apr 21	✓	✓
21	Direkt CNC-Systeme GmbH	Alfdorf	Operating company	72.00	20	100.00	May 21	✓	✓
22	NGC Immobilien Verwaltungs GmbH	München	AssetCo*	80.00	3	100.00	Nov 22		✓
23	ENTRO Invest GmbH	München	Acquisition company	52.00	3	65.00	Jul 22		pro-rata
24	ENTRO Service GmbH	München	Acquisition company	52.00	23	100.00	Aug 22		✓
25	ENTRO Süd GmbH	München	Acquisition company	52.00	24	100.00	Aug 22		✓
26	Wassermann GmbH	Nürnberg	Operating company	52.00	25	100.00	Sep 22		pro-rata

Indirect participations under Ookam Software GmbH (No. 4)

27	OSW Ookam Beteiligungs GmbH	Berlin	Acquisition company	72.00	4	90.00	Jul 19	✓	✓
28	Parity Software GmbH	Eberdingen-Hochdorf	Operating company	72.00	27	100.00	Aug 19	✓	✓
29	OSW 2 Ookam Beteiligungs GmbH	Berlin	Acquisition company	80.00	4	100.00	Jul 19	✓	✓
30	gripware datentechnik gmbh	Hemshofen	Operating company	80.00	29	100.00	Dec 19	✓	✓
31	OSW 3 Ookam Beteiligungs GmbH	Berlin	Acquisition company	80.00	4	100.00	Sep 19	✓	✓
32	SWH Softwarehaus Heider GmbH	Bad Abbach	Operating company	80.00	31	100.00	Dec 19	✓	✓
33	Software und Beratung Meinhardt GmbH	Eschwege	Operating company	72.80	31	91.00	Dec 22		pro-rata
34	OSW 4 Ookam Beteiligungs GmbH	Berlin	Acquisition company	79.20	4	99.00	Aug 20	✓	✓
35	BleTec Software GmbH	Roßdorf	Operating company	79.20	34	100.00	Dec 20	✓	✓
36	OPAS Software GmbH	Strullendorf	Operating company	80.00	4	100.00	Dec 20	✓	✓
37	OSW 6 Ookam Beteiligungs GmbH	Berlin	Acquisition company	72.00	4	90.00	Mar 21	✓	✓
38	DATEX Software GmbH	Karlsruhe	Operating company	72.00	37	100.00	Apr 21	✓	✓
39	OSW 7 Ookam Beteiligungs GmbH	Berlin	Acquisition company	72.00	4	90.00	Mar 21	✓	✓
40	Software24.com GmbH	Stephanskirchen	Operating company	72.00	39	100.00	Apr 21	✓	✓
41	WAREHaus GmbH	Solingen	Operating company	72.00	39	100.00	Jun 22		pro-rata
42	MWM Software & Beratung GmbH	Bonn	Operating company	64.80	39	90.00	Jun 23		
43	OSW 8 Ookam Beteiligungs GmbH	Berlin	Acquisition company	64.00	4	80.00	Sep 21	✓	✓
44	Corporate Montage Europe GmbH	Wiesbaden	Operating company	64.00	43	100.00	Sep 21	✓	✓
45	OSW 9 Ookam Beteiligungs GmbH	Berlin	Acquisition company	80.00	4	100.00	Nov 21	✓	✓
46	elKom Solutions GmbH	Tuttlingen	Operating company	80.00	45	100.00	Dec 21	✓	✓
47	OSW 10 Ookam Beteiligungs GmbH	Berlin	Acquisition company	72.00	4	90.00	Dec 21	✓	✓
48	Voigt Software und Beratung AG	Ilfeld	Operating company	72.00	47	100	May 22	pro-rata	pro-rata
49	OSW 11 Ookam Beteiligungs GmbH	Berlin	Acquisition company	80.00	4	100	Dec 21	✓	✓
50	Condition Integrierte Softwarelösungen GmbH	Göttingen	Operating company	80.00	49	100	Jan 23		
51	OSW 12 AT Ookam Beteiligungs GmbH	Wien	Acquisition company	80.00	4	100	Feb 22	✓	✓
52	blaulicht SMS GmbH	Wien	Operating company	80.00	51	100	Feb 22	pro-rata	pro-rata
53	Solaris Informatik GmbH	Götzis	Operating company	80.00	51	100	Dec 22		pro-rata
54	OSW 13 CZK Ookam s.r.o.	Prag	Acquisition company	80.00	4	100	Jan 23		
55	Utilities Systems a.s.	Prag	Operating company	80.00	54	100	Apr 23		
56	Usys Slovakia. s.r.o.	Banská Bystrica	Operating company	80.00	55	100	Apr 23		
57	OSW 14 Ookam Beteiligungs GmbH	Berlin	Acquisition company	64.00	4	80	Jan 23		
58	Teamware GmbH	München	Operating company	64.00	57	100	Mar 23		

Indirect participations under CarMa Holding GmbH (No. 5)

59	CarrierWerke GmbH	Walldorf	Operating company	80	5	100	Aug 21	✓	✓
60	Interactive Network Communications GmbH	Frankfurt	Operating company	80	5	100	Nov 21	✓	✓
61	CarMa rental GmbH	Frankfurt	AssetCo*	80	5	100	Feb 22	✓	✓
62	Ingenia Glasfaser GmbH	Kirchberg an der Jagst	Operating company	64	5	80	Sep 22		✓
63	CarMa networks GmbH	Frankfurt	Acquisition company	80	5	80	Apr 23		

Associated Companies

No.	Company	Registered office	Category	Share CHAPTERS Group AG	Participation via no.	Share direct parent company	Part of the group since	Included as of 06/30/22	Included as of 12/31/2022
64	NPV Nachfolge Beteiligungen GmbH ¹	Dorsten	Acquisition company	44.00	1	44.00	Jan 19	✓	✓
65	Fintiba GmbH	Frankfurt	Operating company	39.90	2	39.90	May 21	✓	✓
66	MedNation AG (previously Eifelhöhen-Klinik AG)	Bonn	Operating company	20.00	1	20.00	Nov 21 ²	✓	✓
67	VEIL VariEty in Colours GmbH	Hamburg	Operating company	49.80	2	49.80	Aug 22	✓	✓
68	TraFin Scout GmbH	Frankfurt am Main	Operating company	33.09	2	33.09	Aug 22 ³	✓	✓
69	Global Heart Beteiligungsgesellschaft mbH	Frankfurt am Main	Participation holding	41.73	7	41.73	Aug 22	✓	✓

* Companies own and rent property, plant and equipment to other subsidiaries within the group

Changes in the scope of consolidation

Beyond the additions to the group of consolidated companies according to the overview of the group of consolidated companies, Next Level Learning GmbH, a small operating company under GfW Gesellschaft für Weiterbildung mbH (in turn part of NGC Nachfolgekapital GmbH), was merged into the sister company speakeasy München GmbH in the first half of 2023.

Capital consolidation

Capital consolidation for companies acquired or founded by CHAPTERS Group AG directly or indirectly from third parties is carried out using the acquisition method in accordance with Section 301 of the German Commercial Code (HGB). The valuation at the direct parent company of the acquired and founded company is offset against the amount of the subsidiary's equity attributable to these shares. With the applied revaluation method, the assets, liabilities, prepaid expenses, and extraordinary items to be included are valued at their fair value at the time of acquisition. For the revaluation of equity, a purchase price allocation was made by CHAPTERS Group AG (with the support of Baker Tilly GmbH & Co. KG Wirtschaftsprüfungsgesellschaft). The revalued assets resulting from the purchase price allocation are capitalised for the consolidated financial statements at the level of the acquired subsidiary and depreciated there.

¹ NPV Nachfolge Beteiligungen GmbH holds 100% of the shares in E-M-C direct GmbH & Co KG and the associated general partner, NVP Elektroinstallationen Handel GmbH.

² CHAPTERS Group AG has held shares in TraFin Scout GmbH since April 2022. The threshold of 20% was exceeded for the first time in August 2022.

³ CHAPTERS Group AG has held shares in Eifelhöhen-Klinik AG since August 2020. The threshold of 20% was exceeded for the first time in November 2021.

A positive difference between the valuation at the direct parent company and the revalued equity of the subsidiary as part of the purchase price allocation is capitalised as goodwill for the consolidated financial statements at the level of the direct parent company and amortised there. There were no negative balances as of June 30, 2023.

The valuation takes place in accordance with section 301 (2) HGB at the time of the acquisition of the respective subsidiary. If no interim financial statements are prepared at the time of acquisition for transactions that took place during the year, they are derived using the pro rata temporis method. Subsidiaries acquired in the first half of 2023 are only included in the consolidated profit and loss statement pro rata, with the results achieved since the date of acquisition.

Non-controlled shares

In the group structure of CHAPTERS Group AG, minority shareholders have interests in the subsidiaries at several levels. According to Section 307 of the German Commercial Code (HGB), an adjustment item equal to the proportionate equity capital is created for the shares in a subsidiary to be included that are held by shareholders outside the group. In the consolidated profit and loss statement, the profits and losses attributable to the other shareholders (including the results from capital consolidation and the resulting depreciation attributable to them) are reported separately, and the adjustment item in equity is updated accordingly.

Debt, expense and income consolidation, elimination of interim results

Receivables and liabilities, sales, expenses and income within the scope of consolidation were eliminated. This includes, in particular, existing (shareholder) loans within the scope of consolidation as well as interest charged (on them). There were no significant interim results from business transactions between consolidated companies.

C. Accounting and valuation methods

The consolidated interim financial statements as of June 30, 2023, of the CHAPTERS Group AG group are prepared on the basis of the individual interim financial statements of the fully consolidated subsidiaries included in the group in accordance with the requirements of Sections 290 ff of the German Commercial Code (HGB) and the supplementary provisions of the Companies Act. The accounting and valuation methods were applied in accordance with the accounting and valuation methods explained in the notes to the audited consolidated financial statements as of December 31, 2022, unless otherwise stated.

To determine deferred taxes due to temporary or quasi-permanent differences between the commercial law valuations of assets, liabilities and prepaid expenses and their tax valuations, the amounts of the resulting tax burden and relief are calculated using the company-specific tax rates at the time the amounts of the resulting tax burden and relief are valued at the company-specific tax rates at the time the differences are eliminated and are not discounted. Differences based on consolidation adjustments in accordance with Sections 300 to 307 of the German Commercial Code (HGB) are also taken into account, but not differences from the initial recognition of goodwill or a negative difference from capital consolidation.

When converting the financial statements of subsidiaries whose currency is not euro, the modified current rate method is used in accordance with Section 308a of the German Commercial Code

(HGB). The assets and liabilities are generally converted using the average spot exchange rate on the balance sheet date. Expenses and income are converted into euros at the average exchange rate. The equity items are converted using the historical rates that applied at the time of initial consolidation. The balance sheet currency translation differences are recorded directly in equity after the reserves under the item "Equity difference from currency conversion" until the foreign business operation is sold.

D. Notes on the consolidated balance sheet

Fixed assets

The development of the fixed assets in the group can be seen in the fixed asset schedule below.

Securities are accounted for as fixed assets. The securities generally serve as medium-term investments. The equity investments are valued in accordance with the lower of cost or market principle under commercial law (§ 253 HGB) at the lower of acquisition costs and market value as of June 30, 2023. The bond investments are valued at the lower of acquisition costs and nominal value. As of June 30, 2023, there were no indications of a likely permanent impairment and, thus, a need for unscheduled depreciation.

The shares in the perpetual bond **held by CHAPTERS Group AG itself** as the parent company of the group were reported as of December 31, 2022, with the pro rata repayment value attributable to the shares. The company sold its shares in the first half of 2023. The difference between the book value and the selling price is included in the losses from the disposal of fixed assets.

Finished products and goods from purchase price allocation

The order backlog and contract portfolio identified as part of the purchase price allocation developed as follows in the first half of 2023 (data in K EUR):

Opening balance as of 01/01/2023	Inflow in the fiscal year	Outflow in the fiscal year	Closing balance as of 06/30/2023
778.21	407.25	-364.69	821.05

Receivables and other assets

Accounts receivables trade amounting to EUR 4,724.26 thousand (December 31, 2022: EUR 3,918.75 thousand) exist at the level of the operating subsidiaries included in the consolidated financial statements.

The **receivables from companies within the group structure** are loan claims against minority interests within the group structure.

Balances at credit institutions and cash on hand

The **liquid assets** amounting to EUR 33,891.42 thousand (December 31, 2022: EUR 26,278.50 thousand) are predominantly balances at credit institutions. Cash in hand amounts to EUR 33.12 thousand (December 31, 2022, EUR 22.12 thousand). An amount of EUR 23,393.89 thousand (December 31, 2022: 17,708.53 thousand) relates to the liquid assets of CHAPTERS Group AG as the parent company. The liquid assets at the level of the subsidiaries amount to EUR 10,497.53 thousand

(December 31, 2022: EUR 8,547.85 thousand). There is no cash pooling. For a detailed analysis of the changes in cash, please refer to the consolidated cash flow statement.

Accruals and deferrals

Accruals and deferrals were created for expenses or income before the balance sheet date, representing expenses or income for the period after the balance sheet date. The accruals were created in particular for interest expenses expected at the level of CHAPTERS Group AG, as the parent company, through the reversal of the discount for the perpetual bond issued in June 2020. The deferrals essentially result from the accrual of income from software maintenance contracts within the scope of the preparation of the consolidated financial statements, which are invoiced at the beginning of the year for the entire fiscal year.

Equity capital

The detailed changes in equity are shown in the group equity development.

The **subscribed capital** of CHAPTERS Group AG amounts to EUR 16,499,266.00 as of the balance sheet date (December 31, 2022: EUR 16,066,600.00) and is divided into 16,499,266 no-par value bearer shares.

On May 30, 2023, the further increase in the company's share capital by EUR 432,666.00 from authorised capital, carried out as part of a private placement, was entered into the commercial register. The company's subscribed capital has, therefore, increased to EUR 16,499,266.00. The capital reserve increased by EUR 5,884.26 thousand as a result of the increase in share capital.

On June 29, 2023, the Annual General Meeting decided to increase the company's share capital once or several times from EUR 16,499,266.00 by up to EUR 8,033,300.00 to up to EUR 24,532,566.00 (**Authorized Capital 2023/I**). The authorised capital had not been used (in whole or part) when the interim financial statements were prepared.

Provisions

Provisions amounting to EUR 4,874.46 thousand (December 31, 2022: EUR 3,716.55 thousand) are broken down as follows:

	06/30/2023 K EUR	12/31/2022 K EUR
Tax provisions	2,746.95	1,795.04
Other provisions	2,127.51	1,921.51
<i>thereof for annual accounts and audit</i>	<i>385.26</i>	<i>448.06</i>
<i>thereof for personnel costs</i>	<i>388.02</i>	<i>523.23</i>
<i>thereof vacation reserves</i>	<i>104.31</i>	<i>448.06</i>
<i>thereof for guarantees</i>	<i>144.89</i>	<i>29.76</i>

The increase in the provision for guarantees essentially results from the reclassification of a provision of EUR 77.6 thousand that already existed as of December 31, 2022, which was included in other provisions as of December 31, 2022.

Liabilities

The liabilities amounting to EUR 80,990.23 thousand (December 31, 2022: EUR 69,380.12 thousand) include EUR 25,000.00 thousand (December 31, 2022: EUR 25,000.00 thousand) **perpetual bond** issued by CHAPTERS Group AG in May 2020. The nominal value of the bond is EUR 25 million. The issue discount of 35% was included in deferred income and will be reversed pro rata in accordance with the bond conditions. In May 2023, the company re-issued the shares it had held since June 2021 with a nominal value of EUR 12.5 million. The issue price was 77.19%, and the cash inflow for the company amounted to EUR 9,648.13 thousand. The difference to the balance sheet book value of EUR 10,535.38 thousand is reported as a loss from the disposal of fixed assets.

Liabilities to credit institutions essentially consist of acquisition loans taken out to finance the acquisition of operating subsidiaries. This financing is raised at the level of the acquisition companies or the operating companies themselves. If the financing was taken out at the level of the acquisition company, it is usually secured by the acquisition company pledging the shares in the operating company or a guarantee from the operating company in favour of the bank. There is no joint liability on the part of other group companies or CHAPTERS Group AG ("ring-fencing"). In some cases, interest rate hedging transactions were concluded for the loans. The funds are used to partially repay the shareholder loans provided by CHAPTERS Group AG for the acquisition.

Accounts payable amount to EUR 1,669.39 thousand (December 31, 2022: EUR 1,827.41 thousand) essentially include liabilities for purchased services at the level of the operating subsidiaries.

Other liabilities include **seller loans** amounting to EUR 5,917.51 thousand (December 31, 2022: EUR 9,679.83 thousand), which result from the deferral of purchase prices as part of the acquisition of operating companies by the sellers.

Also included are **liabilities to minority shareholders** amounting to EUR 2,015.58 thousand (December 31, 2022: EUR 1,981.83 thousand). The shareholder loans from minority shareholders are granted on the same terms as the shareholder loans of CHAPTERS Group AG.

The maturities of the liabilities are shown in the following table of liabilities (in EUR thousand):

		Total	Up to 1 year	Between 1 and 5 years	More than 5 years
Bond	06/30/2023	25,000.00			25,000.00
	12/31/2022	25,000.00			25,000.00
Liabilities to credit institutions	06/30/2023	40,635.54	6,762.39	24,947.95	8,925.20
	12/31/2022	27,411.06	5,855.49	19,229.65	2,325.92
Advance payments received on orders	06/30/2023	992.20	992.20		
	12/31/2022	1,104.70	1,104.70		
Accounts payable	06/30/2023	1,669.39	1,669.39		
	12/31/2022	1,827.41	1,827.41		
Other liabilities	06/30/2023	12,693.10	8,949.39	1,728.13	2,015.58
	12/31/2022	14,036.95	10,447.00	1,608.13	1,981.82
thereof from seller loans	06/30/2023	5,917.51	4,189.38	1,728.13	
thereof to minority shareholders	06/30/2023	2,015.58			2,015.58
thereof from taxes	06/30/2023	1,493.96	1,493.96		
thereof in the context of social security	06/30/2023	170.72	170.72		
Liabilities	06/30/2023	80,990.23	18,373.37	26,676.08	35,940.78
	12/31/2022	69,380.12	19,234.60	20,837.78	29,307.74

Deferred tax liabilities

The deferred tax liabilities result from the purchase price allocation in the course of preparing the consolidated financial statements and developed as follows in the financial year (in EUR thousand):

Opening balance as of 01/01/2023	Inflows in the fiscal year	Outflows in the fiscal year	Closing balance as of 06/30/2023
2,747.11	833.05	362.63	3,217.5

Contingent liabilities

At the CHAPTERS Group AG level, there are contingent liabilities amounting to EUR 256.53 thousand (December 31, 2022: EUR 367.82 thousand) due to the assumption of maximum liability guarantees for individual subsidiaries. CHAPTERS Group AG was called upon in April 2023 from a bank guarantee assumed in connection with the reconversion obligations of a rented property but has lodged objections to the existence of the underlying claim and is in the process of resolving the situation in close coordination with the subsidiary.

E. Notes to the consolidated income statement

Due to the company's strong acquisition-related growth, in addition to the profit and loss statement as of June 30, 2022, the profit and loss statement as of December 31, 2022, is included in the consolidated half-year accounts for comparison purposes. Unless otherwise annotated, the change compared to June 30, 2022 is stated below⁴.

Revenue

Revenue is primarily generated through the sale of services and software licenses and associated maintenance contracts. Sales are mainly generated in Germany.

Other operating income

Other operating income is comprised of:

	01/01/2023- 06/30/2023 K EUR	01/01/2022- 06/30/2022 K EUR
Ordinary operating income	385.96	291.17
Income from the disposal of and from write-ups to fixed assets	1,808.67	5,088.25
Income from the reversal of provisions	16.52	0.18
Other income	0.41	5.95
Income from foreign currency translation	0.80	0.00
Other operating income	2,212.35	5,385.56

⁴ The consolidated interim financial statements as of June 30, 2022 have not been subject to an audit review. The figures have been included in the audit of the full financial year 2022.

Ordinary operating income includes income from offsetting benefits in kind amounting to EUR 149.37 thousand (previous year: EUR 76.62 thousand). The income from the disposal of and from write-ups on fixed assets essentially includes income from the sale of securities by CHAPTERS Group AG. Other income includes income from other periods amounting to EUR 6.58 thousand (previous year: EUR 21.81 thousand).

Depreciation

Depreciation is comprised of:

	01/01/2023- 06/30/2023 K EUR	01/01/2022- 06/30/2022 K EUR
Amortisation of intangible assets from purchase price allocation	-929.77	-640.04
Amortisation of intangible assets at the level of the individual companies	-185.18	-225.59
Depreciation of property, plant and equipment at the level of the individual companies	-353.82	-157.74
Amortisation of goodwill from consolidation	-4,154.86	-2,618.48
On current assets	-0.10	-0.00
Depreciation	- 5,623.73	- 3,641.84

Other operating expenses

Other operating expenses are comprised of:

	01/01/2023- 06/30/2023 K EUR	01/01/2022- 06/30/2022 K EUR
Cost of premises	-1,190.48	-897.52
Insurance/Contributions	-220.91	-124.88
Vehicle costs	-575.42	-358.70
Advertising and travel costs	-1,191.49	-897.52
Repairs and maintenance	-353.65	-141.50
Legal and consulting costs	-837.41	-1,025.80
Costs for bookkeeping and preparation of annual financial statements	-196.38	-110.21
Costs caused by the corporate form of CHAPTERS Group AG	-145.75	-166.45
Other operational costs	-1,793.93	-1,203.54
Ordinary operating expenses	-6,505.42	-4,926.12
Losses from the disposal of fixed assets	-1,493.25	-505.06
Expenses from currency conversion	-23.465	0.0
Losses from impairments, from the disposal of current assets, and additions to the valuation allowance for receivables	-0.80	-6.94
Other operating expenses	-8,234.12	-5,438.12

Legal and consulting costs in the same period of the previous year were increased primarily due to the costs incurred by CHAPTERS Group AG in connection with the subscription rights capital increase carried out in April 2022.

The losses from the disposal of fixed assets primarily result from losses from the sale of fixed asset securities at the level of CHAPTERS Group AG.

Results from associated companies

The result from associated companies is comprised of the following:

	01/01/2023- 06/30/2023 K EUR	01/01/2022- 06/30/2022 K EUR
Pro-rata annual surplus attributable to CHAPTERS Group AG	696.29	72.64
Pro-rata annual loss attributable to CHAPTERS Group AG	-655.27	-97.26
Losses exceeding the valuation	533.27	2.37
Offsetting of annual profits with loss carry-forwards from previous years	-23.34	-72.64
Amortisation of goodwill	-277.01	-85.57
Closing of passive balances	32.72	32.72
Total result from associated companies	306.68	-147.74

Distributions received in the first half of 2023 in the amount of EUR 518.70 thousand (same period of the previous year: EUR 0.00 thousand) will be offset against the acquisition costs of the associated companies without affecting income.

There were no acquisitions or increases in shares in associated companies in the first half of 2023. The amount incurred in previous years from offsetting the acquisition costs of the respective investments against the share of equity at the time of acquisition, totalling EUR 5,087.41 thousand (same period of the previous year: EUR 5,087.41 thousand), will be reversed over 10 years (in each case from the date of acquisition). As of June 30, 2023, the remaining goodwill amounts to EUR 4,128.16 thousand (December 31, 2022: EUR 4,405.16 thousand).

The passive difference in the 2021 financial year amounts to EUR 490.85 thousand after reversal in the financial year ending June 30, 2023 (December 31, 2022: EUR 523.58 thousand).

Income from other securities and loans held as fixed assets

As in the previous year, the income of EUR 82.02 thousand (same period of the previous year: EUR 253.52 thousand) resulted entirely from dividends and interest from securities received by CHAPTERS Group AG.

Other interest and similar income

The other interest and similar income totalling EUR 882.86 thousand (same period of the previous year: EUR 540.55 thousand) essentially results from the interest income on the shares in the perpetual bond held by CHAPTERS Group AG, interest income from other bonds in Financial assets

of CHAPTERS Group AG as well as interest income from shareholder loans to associated companies and other investments within the group.

Depreciation on financial assets

The full amount of EUR 908.29 thousand (same period of the previous year: 2,127.59 thousand) of depreciation on financial assets and current securities results from depreciation on securities that CHAPTERS Group AG holds within the scope of liquidity management.

Other interest and similar expenses

Interest and similar expenses amounting to EUR 1,854.18 thousand (same period of the previous year: EUR 1,090.76 thousand) are comprised of EUR 889.73 thousand (same period of the previous year: EUR 808.76 thousand) interest expenses at CHAPTERS Group AG as the parent company for the perpetual bond. At the level of the subsidiaries, the interest expense amounts to EUR 964.45 thousand (same period of the previous year: EUR 282.00 thousand) and was incurred for the acquisition loans taken out by the companies to refinance the acquisition of companies. The increase reflects the significant increase in bank liabilities compared to the first half of 2022, resulting from ongoing acquisition activity.

Income taxes

Income taxes are paid at the level of the respective individual companies. Income tax groups regularly exist between the acquisition company and the operating company in which it has a direct stake. No other income tax groups exist, so losses in other group companies are not offset.

F. Supplementary report

By the time the consolidated financial statements were prepared, five transactions had occurred through the **investment platforms**, two of which were carried out by Ookam Software GmbH and two by a subsidiary of NGC Nachfolgekapital GmbH in the field of technical services for gate and door systems. The acquisition of 100% of the shares in Glasfaser Direkt GmbH and its subsidiaries, Jobst NET GmbH and Eifel NET GmbH, as part of insolvency proceedings through CarMa Holding GmbH, which was already explained in the supplementary report to the 2022 consolidated financial statements, has received approval for the insolvency plan from the competent court and the change of shareholder took effect in September 2023. The Glasfaser Direkt group of companies owns and operates fibre optic and DSL networks in rural regions in western and southern Germany. CarMa Holding plans to continue its business operations.

In July 2023, the company acquired an 80% stake in mlog capital SAS, based in France. The newly founded company intends to act as an investment platform to acquire software companies in niche markets in France.

In connection with the transactions mentioned above, CHAPTERS Group AG provided a total of EUR 10.04 million in shareholder loans.

With the ad-hoc announcement dated September 7, 2023, the company announced the spin-off of the building services group under NGC Nachfolgekapital GmbH as part of a 100% management buy-out. Closing took place on September 22, 2023. The transaction includes 100% of the shares in ARUDI GmbH as the acquisition company as well as the operating companies gelford GmbH

Gebäudereinigung und Dienstleistungen, Diamant Gebäudereinigungsdienst GmbH and Calmund & Riemer GmbH⁵. ARUDI will continue to be led by the NGC management team and the current operational managers. The management of all four operating companies will also continue unchanged. In the 2023 interim consolidated financial statements, the companies account for sales of EUR 9,056.8 thousand and an annual loss of EUR 0.26 thousand. The shares in the equity of minority shareholders amount to EUR 331.90 thousand, and the bank and seller liabilities amount to EUR 12,594.42 thousand EUR. The goodwill amounts to EUR 12,793.60 thousand; there are no intangible assets from purchase price allocation.

Hamburg, September 27, 2023

.....
Jan-Hendrik Mohr (Chairman)

.....
Marlene Carl

⁵ Including Bastex Schädlingsbekämpfung & Hygienetechnik GmbH, which merged into Calmund & Riemer GmbH in 2022

CHAPTERS Group AG – condensed INTERIM GROUP ACCOUNTS 2023 CONSOLIDATED FIXED ASSET SCHEDULE

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	Acquisition and manufacturing costs						Depreciation				Book value	
	01/01/2023 KEUR	Inflows KEUR	Transfers KEUR	Outflows KEUR	Consolidation- related changes KEUR	06/30/2023 KEUR	Inflows KEUR	Outflows KEUR	Transfers KEUR	Consolidation- related changes KEUR	06/30/2023 KEUR	12/31/2022 KEUR
I. Intangible assets												
1. Acquired concessions, industrial property rights and similar rights and values, as well as licenses to such rights and values <i>thereof from purchase price allocation</i>	13,346.75	2,986.80	-12.71		1,043.42	17,364.25	-3,812.36	-1,108.96	0.4	-968.35	11,474.99	9,534.39
	10,982.32	2,882.78				13,865.10	-2,274.85	-923.78	0.4	0	10,666.87	8,707.47
2. Company Value <i>thereof from consolidation</i>	70,199.72	25,727.35				95,927.07	-10,687.69	-4,174.49		0	81,064.89	59,512.03
	69,530.05	25,667.35				95,197.40	-10,141.41	-4,154.86		0	80,901.12	59,388.64
Total: intangible assets	83,546.46	28,714.15	-12.71		1,043.42	113,291.32	-14,500.04	-5,283.45	0.4	-968.35	92,539.88	69,046.42
II. Property, plant and equipment												
1. Land and buildings <i>thereof from purchase price allocation</i>	1,483.44	0.94			31.26	1,515.63	-93.61	-11.12		-5.31	1,405.59	1,389.82
	316					316	-23.94	-7.18		0	284.88	292.06
2. Technical equipment and machinery	777.05	241.34			25.16	1,043.54	-281.65	-39.35		-20.41	702.14	495.41
3. Other equipment, factory and office equipment	5,425.85	402.25			483.9	6,322.00	-3,858.85	-303.35		-316.96	1,843.03	1,567.00
4. Payments on account and assets under construction	15.92	71.7				87.62		-0.03			87.62	15.92
Total: property, plant and equipment	7,702.26	716.22			550.32	8,968.80	-4,234.10	-353.82	-0.03	-342.68	4,038.38	3,468.15
III. Financial investments												
1. Shares in associated companies	9,028.05	12,159.66			-212.02	20,975.69					0	0
2. Loans to companies within the ownership structure	1,155.00	80				1,235.00	3.53*		7.02*		1,245.55	1,158.53
3. Other participations	1,085.34					1,085.34	-1,072.84				12.5	12.5
4. Fixed asset securities	43,391.81	1,950.52		-21,079.31		24,263.02	-6,666.08	-908.29	690.81	-4,474.93	19,788.09	36,725.73
5. Shares of bonds held by the company itself	8,891.25			-8,891.25		0	1,281.35**	-1,644.13	362.78**		0	10,172.60
Total: financial assets	63,551.45	14,190.19		-29,970.56	-212.02	47,559.05	-6,454.04	-908.29	1,060.60	-5,537.22	42,021.83	57,097.41
Total fixed assets	154,800.18	43,620.56	-12.71	-29,970.56	1,381.71	169,819.17	-25,188.19	-6,545.56	1,061.01	-1,311.02	138,600.09	129,611.99

** Corresponds to the pro-rata interest income from the reversal of the discount attributable to the bond held by the company

*Interest on loans, if recorded in fixed assets



Condensed interim financial statements
CHAPTERS Group AG (Parent)
as of
June 30, 2023

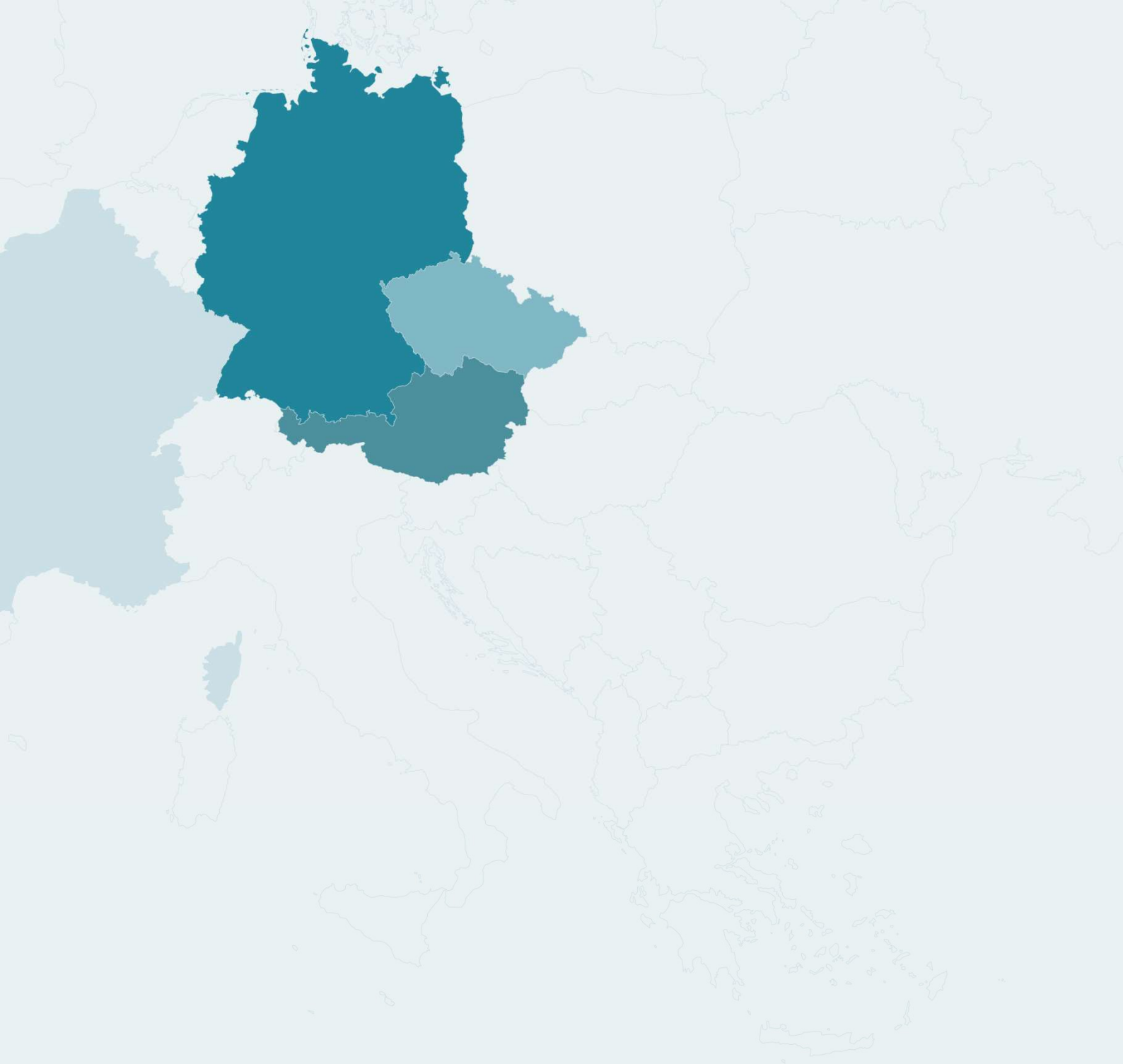
CHAPTERS Group AG – Balance sheet as of June 30, 2023 *

	06/30/23	12/31/22		06/30/23	12/31/22
	MM Euro	MM Euro		MM Euro	MM Euro
Capital assets	98.73	92.79	Equity capital	106.67	99.71
Intangible assets	0.04	0.03	Subscribed capital	16.5	16.07
Property, plant, and equipment	0.01	0.01	Capital reserves	97.79	91.9
Financial investments	98.68	92.76	Balance sheet loss	-7.61	-8.26
<i>Shares in affiliated companies</i>	<i>21.92</i>	<i>9.48</i>			
<i>Loans to affiliated companies and participations</i>	<i>54.69</i>	<i>34.10</i>	Accruals	0.44	0.33
<i>Participations</i>	<i>2.54</i>	<i>2.54</i>	Tax provisions	0.25	0.01
<i>Securities</i>	<i>19.54</i>	<i>36.47</i>	Other provisions	0.18	0.31
<i>Share in Bond held by company</i>	<i>0.0</i>	<i>10.17</i>			
Current assets	29.76	27.72	Liabilities	25.19	25.15
Receivables and other assets	6.36	10.01	Bond	25.00	25.00
Cash and balances with credit institutions	23.39	17.71	Liabilities to credit institutions	0.0	0.0
Prepaid expenses	3.81	4.67	Liabilities from goods and services	0.08	0.08
			Other liabilities	0.10	0.07
Total assets	132.29	125.18	Total liabilities	132.29	125.18

CHAPTERS Group AG - Profit and loss statement as of June 30, 2023*

	01/01-30/06/23	01/01-30-/6/22	01/01-30/12/22
	MM Euro	MM Euro	MM Euro
Sales revenue	0	0	0.03
Other company income	1.74	0.38	1.79
Personnel expenses	-0.24	-0.19	-0.5
Depreciation	-0.01	-0.01	-0.02
Other operating expenses	-2.16	-1.7	-2.63
Income from securities held as fixed assets	0.08	0.25	0.41
Other interest and similar income	3.32	2.12	4.43
Depreciation on financial assets and securities under current assets	-0.91	-2.13	-6.93
Interest and similar expenses	-0.89	-0.81	-1.69
Taxes on income and earnings	-0.29	0.03	0
Annual net income/deficit	0.65	-2.05	-5.12
Loss carried forward from the previous year	-8.26	-3.14	-3.14
Balance sheet loss	-7.61	-5.19	-8.26

* The financial statements of CHAPTERS Group AG (as the parent) are included in the audit review of the interim consolidated financial statements; an audit review of the individual financial statements did not take place.



CHAPTERS
GROUP